Corporate Bond Trading around Unscheduled Corporate Events

Cindy Pan
Susquehanna University
pan@susqu.edu

Bonnie Van Ness
University of Mississippi
bvanness@bus.olemiss.edu

Robert Van Ness
University of Mississippi
rvanness@bus.olemiss.edu

March 2026

Abstract

This paper examines how corporate bonds trade in response to corporate events that typically are a surprise to markets. We examine unscheduled corporate events: CEO turnovers, dividend changes, mergers and acquisitions (M&As), seasoned equity offerings (SEOs), spin-offs, stock splits, and ticker symbol changes. Although some events result in an increase in corporate bond trading activity, some events do not change the trading activity of firms' bonds. Overall, bond traders increase trading in response to involuntary CEO turnover events, dividend change announcements, M&A announcements, SEO announcements, and spin-off events, but not to voluntary CEO turnover events, stock splits, and stock ticker changes.

JEL Classifications: G12, G14, G30

Keywords: Corporate Events, Corporate Bond Market, Bond Trading

1. Introduction

The over-the-counter (OTC) corporate bond market is characterized as opaque with infrequent trading (Edwards, Harris, and Piwowar, 2007). Several studies document the reduction in trading costs and improvement in liquidity after the introduction of the Trade Reporting and Compliance Engine (TRACE) in 2002 (Edwards, Harris, and Piwowar, 2007; Goldstein, Hotchkiss, and Sirri, 2007). Although post-trade price transparency was established after the introduction of TRACE, bond traders still experience a lack of publicly available price quotes in the OTC corporate bond market, which may lead to adverse selection.

Both debt and equity represent claims on firms' future cash flows, corporate events affect investors' expectations of the distribution of future cash flows. This revision of investors' expectations materializes through trading. Studies examining the relevance of corporate events that materialize in equity trading are robust; however, few consider the effect of these events on bond trading. Information asymmetry around corporate events, particularly unscheduled events, may contain value-relevant information to bond traders and result in changes in trading activity in the bond market as bond traders revise expectations due to new information. We study changes in corporate bond trading around unscheduled corporate news events, which likely comes to the market as a surprise. Such unscheduled corporate events include CEO turnovers, dividend changes, mergers and acquisitions (M&As), seasoned equity offerings (SEOs), spin-offs, stock splits, and ticker symbol changes.

The literature regarding bond market reactions around unanticipated corporate events centers on abnormal price reactions and returns to bondholders, but many of the studies do not examine changes in trading activity, which raises the question if prices change, but the changes in prices are not driven by significant differences in trading activity (which are seen in the equity market). Chen, Ramaya, and Wu (2020) examine wealth effects of M&A announcements on bondholders and provide evidence that acquiring firm bondholders experience significantly negative abnormal returns, while target firm bondholders experience significantly positive abnormal returns. Wei, Truong, and Do (2020) analyze unexpected dividend change announcements and find that, on average, bond prices increase and decrease in the same direction of the dividend change. Adams and Mansi (2009) investigate the impact of CEO turnover on bond prices and find that while CEO turnover events are value enhancing to stockholders, they are value decreasing to bondholders.

While bond price reactions to corporate events are documented, competing theories and mixed evidence lead to the corporate bond market response to unscheduled corporate events being an open question. Woodley, DaDalt, and Wingender (2020) document abnormal returns and trading activity in corporate bonds around earnings announcements, which is a scheduled event. How certain unscheduled corporate events affect bond trading activity is not clear. For example, would bondholders benefit from the firm having a lower leverage ratio or will they react negatively as SEOs typically signal that a firm is overvalued? The effects of unscheduled firm events may result in different trading reactions in the corporate bond market or no reaction at all. Using previous bond market event studies and equity market event studies as guides, bond price reactions to certain unscheduled corporate events may be indicative of how bond trading activity will react to these same events.

We use bond transaction data from TRACE over a sample period of 2012 to 2021, and find that certain unscheduled corporate events elicit reactions in the corporate bond market. Some events result in an increase in corporate bond trading activity, while some events do not change in the trading activity of their firms' bonds. Bond traders react to involuntary CEO turnover events, dividend change events, M&A announcements, SEO announcements, and spin-off events, but not to voluntary CEO turnover events, stock splits, and stock ticker changes. In a market that is opaque and illiquid, the finding of an increase in trading activity in corporate bonds around some of the events implies that bond traders find these events to contain value-relevant information and adjust their expectations of the firms accordingly through bond trading.

The remainder of the study proceeds as follows. Section 2 provides a detailed literature review of each unscheduled corporate event examined in this paper and outlines the development of the hypotheses. Section 3 describes the data and methodology. Section 4 presents the results of the analyses, and Section 5 concludes.

2. Literature Review and Hypotheses Development

CEO Turnovers

One can argue that the direction of a firm is directly linked to its CEO. So, when a firm's CEO steps down (whether voluntarily or involuntarily), the direction of the firm may fundamentally change with the successor. On the other hand, the CEO holds only one seat on the board of directors and replacing one individual (albeit one of the most powerful individuals) is not likely to fundamentally change a firm. Weisbach (1995) finds that CEO turnover leads to reversals of poor prior decisions in the context of divesting acquisitions. Huson, Malatesta, and Parrino (2004) document positive average abnormal stock returns at turnover announcements. Clayton, Hartzell, and Rosenberg (2005) find significant increases in stock price volatility following CEO turnover.

Adams and Mansi (2009) investigate the impact of CEO turnover announcements on bondholder wealth and find support for both the wealth transfer and signaling hypotheses. CEO turnover announcements are value-enhancing to stockholders and value-decreasing to bondholders. Abnormal changes in bondholder wealth are larger for forced CEO turnover than for voluntary turnover. The documented effects of CEO turnovers on corporate policy, stock price, and bondholder wealth provide mixed insight on how trading activities of corporate bonds will response to CEO turnover announcements. We hypothesize that CEO turnovers, voluntary or involuntary, will increase bond trading activity.

H1: Corporate bonds of firms with CEO turnover announcements will experience an increase in trading activity.

Dividend Changes

Research on the effect of dividend changes on firm value using the equity market setting is abundant. Nissim and Ziv (2001) find that dividend changes are predicative of the future profitability of firms, which supports the information content of dividends hypothesis.[1] Handjinicolaou and Kalay (1984) examine the effect of dividend changes in the bond market and find support for both the information content of dividends hypothesis and the wealth redistribution hypothesis.[2] There is a positive bond price response to unexpectedly large dividends and dividend increase announcements negatively affect bond market value. Their empirical evidence indicates that bond prices are not affected by dividend increase announcements but react negatively to dividend reductions, which implies that dividend announcement changes contain some information regarding firm value. Dhillon and Johnson

[1] The information content of dividends hypothesis state that dividend changes trigger stock returns because they convey new information about the firm's future profitability (Miller and Modigliani, 1961).
[2] The wealth redistribution hypothesis, termed by Handjinicolaou and Kalay (1984), states that dividend increase announcements negatively affect bond market value because stockholder gains can be at least partially explained by bondholder losses.

(1994) find that bond price reactions to dividend changes are opposite to stock price reactions, which supports the wealth redistribution hypothesis.

Tsai and Wu (2015) use the TRACE data to examine 5,571 dividend announcements from 2005 to 2012. Their study finds some evidence supporting the information content and free cash flow hypotheses as opposed to the wealth transfer effect in the bond market.[3] Stock returns and premium bond returns on announcement dates are positively related to dividend changes, with unexpected dividend increases (decreases) being followed by better (worse) earnings one year later. Using TRACE data to study a similar sample size and sample period, Wei, Truong, and Do (2020) argue that the signaling or wealth transfer effect is conditional on bond types. Average daily bond prices decline by -0.056% in response to dividend decrease announcements and increase 0.015% to dividend increase announcements. Dividend omission announcements result in a decline of 0.3%, but the bond market does not appear to react to dividend initiation announcements. Bonds rated A or better do not react to unexpected dividend changes as default risk is negligible, rather market reaction is concentrated in bonds along the investment grade borderline. The wealth expropriation effect is strongest among bonds with a probability of default greater than 10%, less than 12 months to maturity, and a corporate cash ratio less than one.

Based on these previous findings of bond price reactions to unexpected dividend changes and the non-mutually exclusive theories on dividends, the trading activity in corporate bonds of announcing firms is not clear. According to the information content and free cash flow hypotheses, if dividend increases and decreases send a signal to investors, bond trading will increase in both instances as investors adjust their expectations of the firm. According to the

[3] Jensen's (1986) free cash flow hypothesis predicts that the distribution of dividends prevents managers from wasting resources, which benefits both stockholders and bondholders.

wealth redistribution hypothesis, if dividend increases (decreases) favor stockholders (bondholders), bond trading will decline (increase).

H2: Corporate bonds of firms with dividend increase and decrease announcements will experience an increase in trading activity based on the information content and free cash flow hypotheses but dividend increase (decrease) announcements will invoke a decline (increase) in trading activity based on the wealth redistribution hypothesis.

Mergers and Acquisitions

The coinsurance effect may come into play in mergers and acquisitions as risky debt benefits from a decrease in the probability of default when firms merge, leading to an increase in bondholder wealth. On the other hand, Furfin and Rosen (2011) find, on average, mergers increase default risk of the acquiring firm and conclude managerial motivations play a critical role for this outcome. Billett, King, and Mauer (2004) examine 940 mergers from 1979 to 1997 and find that target bondholders earn positive mean excess returns of 1.09% with even stronger returns for non-investment grade bonds, while acquirer bondholders experience a mean excess return of -0.17%. Chen, Ramaya, and Wu (2020) use the TRACE data to find support for both the coinsurance and wealth transfer hypotheses. Acquirer bondholders experience negative abnormal returns while target bondholders experience positive abnormal returns. Target (acquirer) bonds experience more positive (negative) returns when the target's credit rating is below the credit rating of the acquirer. Jankowitsch and Pauer (2021) also study the TRACE data and conclude that target bondholders experience positive wealth effects of around 40 bps, but acquirer bondholders suffer a loss of around 1.7 bps.

The effects of M&A announcements on bond trading activity may depend on whether the coinsurance or the wealth transfer hypothesis is at play. Using a sample from 1994 to 2006, Kedia and Zhou (2014) show an increase in pre-announcement trading activities (volume and number of trades) in corporate bonds of NAIC firms with M&As announcements. Target bonds experience higher trade frequency and volume in the three months prior to the announcement. Although Kedia and Zhou examine measures of trading activities prior to M&A announcements, their sample period spans only a few years after the implementation of TRACE in 2002 and they focus only on NAIC firms.

Based on past evidence on bond price reactions, target bondholders benefit from M&A announcements while acquirer bondholders suffer a loss. Thus, bond traders will increase their buying activity in target bonds while selling acquirer bonds. Overall trading activity in corporate bonds should increase as traders act on news announcements.

H3: Target bonds and acquirer bonds will experience an increase in trading activity around M&A announcements.

Seasoned Equity Offerings

Eberhart and Siddique (2002) examine the effects of seasoned equity offerings (SEOs) on the long-term performance of bonds and stocks. Their results appear to be inconsistent with the efficient market hypothesis as there is a five-year positive delayed bond price response to SEOs. SEO announcements generate negative abnormal stock returns as stockholders experience a wealth transfer to bondholders, because SEOs decrease a firm's debt ratio and consequently its default risk. Eberhart and Siddique did not examine bond trading activity around SEO announcements. Given the lack of research regarding SEOs and trading in the corporate bond market, it is not clear how an SEO might affect bond trading activity. However, we conjecture that if the wealth transfer hypothesis holds and bondholders benefit from SEOs, then trading in bonds of firms with SEO announcements will experience an increase in trading activity.

H4: Corporate bonds of firms with SEO announcements will experience an increase in trading activity.

Spin-offs

The spin-off literature focuses on abnormal stock price performance and shareholder value (Chemmanur and Yan, 2004; Veld and Veld-Merkoulova, 2004). Maxwell and Rao (2003) find support for the wealth expropriation hypothesis in that bondholders suffer significantly negative abnormal returns during the month of a spin-off announcement. While the aggregate value of the firm increases, the firm's bonds are more likely to be downgraded after the spin-off and losses to bondholders tend to be more severe when the gains to stockholders are larger. Due to the lack of literature on the effects of spin-off announcements in the corporate bond market, we cannot predict if there will be any changes in bond trading activity around spin-off announcements. If traders' reactions to spin-offs are in line with the wealth expropriation hypothesis, then they are likely to increase their trading activity by selling the corporate bonds with spin-off announcements.

H5: Corporate bonds of firms with spin-off announcements will experience an increase in trading activity.

Stock Splits

Two well-established hypotheses that are not mutually exclusive in the stock split literature are the signaling hypothesis and the trading range hypothesis (Fama et al., 1969). Under the signaling hypothesis, managers use stock splits to convey favorable private information regarding the current value of the firm. The trading range hypothesis posits that the main motive for stock splits is to realign share prices to a preferred trading range to attract small investors as it becomes more affordable for investors to diversify their portfolios.

Since a stock split does not fundamentally change a firm, logic dictates that this event should not elicit a reaction from the market. However, the market reaction to this seemingly cosmetic corporate event is generally positive in the equity markets (Grinblatt, Masulis, and Titiman, 1984; Ikenberry, Rankine, and Stice, 1996). Regarding the bond market reactions to stock splits, Michayluk and Zhao (2010) find that the average bond yield spreads decrease with positive bond price reactions after split announcements. This evidence indicates that bond investors also perceive a stock split as a favorable signal of the splitting firm's future prospects.

Nevertheless, the number of stock splits have continually declined since the 1980s, dropping from 800 in 1983 to 135 in 2007 and further declining after the 2008 financial crisis to 13 splits in 2009 (Minnick and Raman, 2014). With the changing landscape in trading (fractional share trading, no-commission trades, and easy-to-use trading platforms), investors can purchase shares of stock based on dollar value (with a minimum of $1), making the trading range hypothesis less relevant.[4]

If the signaling hypothesis is still relevant to investors, bond trading will increase when a firm engages in a stock split. If the trading range hypothesis of stock splits is no longer relevant, then equity investors will not change their trading behavior around split events. Additionally, the trading range hypothesis should not affect the bond market, since one of the goals for stock splits is to lower equity prices to attract investors to trade equity. Therefore, bond trading of firms with stock splits will increase based on the signaling hypothesis. Alternatively, if bond traders think stock splits are merely cosmetic, there will be no changes in trading activity in the bond market.

[4] See https://www.investopedia.com/comparing-fractional-trading-offerings-at-online-brokers-4847173

H6: Corporate bonds of firms with stock split events will experience an increase in trading activity based on the signaling hypothesis or the bonds of firms with stock split events will experience no changes in trading activity if traders view stock splits as cosmetic events.

Ticker Changes

Announcements of ticker symbol changes often surprise the market. One might argue that a company name or ticker change indicates a firm's more diverse operations and or that it is seeking to position itself in a certain direction or project a certain image through a name or ticker change.[5] Kadapakkam and Misra (2007) argue that a ticker symbol change (without a simultaneous company name change), which should have no valuation consequences for a firm, has an adverse effect on trading volume and prices in the stock market. From a behavioral perspective, more likeable, easily pronounceable, and memorable ticker symbols experience higher firm values and returns in the equity markets (Head, Smith, and Wilson, 2009; Xing, Anderson, and Hu, 2016).

Given little prior research from which to draw, the effect of a ticker change on the trading activity of corporate bonds is unknown. The trading activity of the firms' bonds may depend on how the market perceives ticker changes, whether strategic brand positioning or merely cosmetic. If the ticker change symbolizes a new brand positioning of the firm and bond traders view the change as positive, then bond traders will increase buying activity. On the other hand, if the ticker change is merely cosmetic, then bond traders will not react and there will be no changes to bond trading activity.

[5] For example, see these articles on Forbes and BBC News regarding Facebook's (FB) name and ticker change to Meta Platforms, Inc. (META): https://www.forbes.com/advisor/investing/facebook-ticker-change-meta-fb/ and https://www.bbc.com/news/technology-59083601

H7: Corporate bonds of firms with ticker symbol changes will experience no change in trading activity if bond traders perceive the change as cosmetic or will increase trading activity if bond traders perceive the change as positive.

3. Data and Methods

Data Sources

Bond trade data are obtained from enhanced TRACE from January 1, 2012 to December 31, 2021. Some bond information, such as the indicators for 144A, convertible features, investment or noninvestment grade, bond maturity date, and coupon rate, are sourced from the TRACE master file. Information on firm characteristics and financials are obtained from CRSP and Compustat.

Quarterly dividend announcements, stock split events, spin-off events, and ticker changes are from CRSP. CEO turnover events are merged from Execucomp and an open sourced database for CEO dismissals.[6] SEO announcements and M&A announcements are collected from Bloomberg Financial Database.[7] Bloomberg filters include restricting the sample to public firms with country/region, index, and exchange being in North America. Event dates from Bloomberg

[6] Version V01312023 of the open source CEO dismissal dataset was updated on January 31, 2023, so only events up to December 31, 2021 are used in the sample. An indicator variable of 0 and 1 is used to separate the sample into voluntary and involuntary CEO turnovers, respectively.

[7] Some firm events' data downloaded from Bloomberg have Bloomberg-designated ticker symbols in the form of a seven-digit number with a letter at the end (e.g., 1897377D for Sprint Corporation, a telecommunications company that merged with T-Mobile in 2020). Bloomberg assigns numeric ticker symbols because it does not keep obsolete historic ticker symbols. If an acquirer assumes the target's ticker, then the acquirer's ticker becomes a Bloomberg-assigned ticker and vice versa. Firms with Bloomberg-assigned tickers are dropped from the sample. Bloomberg also uses the most current trading symbol for firms. A bankrupt firm trading in the OTC market will have a Q attached to the end of its ticker. This additional Q poses issues for merging with other datasets that use pre-bankruptcy ticker symbols. The Q from bankrupt firms trading in the OTC market was dropped in order to merge with other datasets. These firms are also excluded from the sample if they cannot be successfully matched.

are announcement dates of the events. Dates from CRSP and Execucomp are event dates, except for dividend changes where CRSP provides the announcement dates.

Sample Selection

The sample for all corporate events is formed by identifying all firms in the CRSP and Compustat databases excluding utilities and financial institutions (SIC codes 6000-6999 and 4900-4999). A stock must have a share code of 10 or 11 to be included in the stock split and ticker change events. Following the literature on stock splits, all stock splits with a distribution code of 5523 and a stock split factor greater than or equal to 1 are included in the sample. A stock is excluded from the ticker change sample if its share class is classified as 1, B, C, D, E, H, N, S, or V. SEO announcements are all "ADDL" offerings indicated on Bloomberg excluding secondary offerings, debt offerings, or a combination of the two. More specifically, only additional primary share offerings with no other classification types are included in the SEO sample (Gao and Ritter, 2010).[8] Dividend change announcements must have a distribution code of 1232 and are restricted to increases and decreases with percentage changes greater than 10% (Wei, Truong, and Do, 2020).[9] Spin-off parent firms are identified in the CRSP distribution database using distribution codes 3762, 3763, 3764, 3862, 3863, and 3864.

The bond sample is restricted to non-convertible, non-144A bonds, maturing in 50 years or less, that have non-missing ticker and bond symbol information, and that are active during the

[8] SEO offer type in Bloomberg may have multiple classifications associated with one event (e.g., "ADDL, Primary Share Offering, Best Efforts, Private Placement"). Classifications include primary share offering, secondary share offering, accelerated bookbuild, block, emerging growth, private placement, at the market, Rule 144A, registered direct, bought deal, VC backed, VC exit, PE backed, PE exit, QIP, and REG S.

[9] Following Handjinicolaou and Kalay (1984), the percentage change in unexpected dividends for company i at time t is defined as $\frac{D_{i,t}-D_{i,t-1}}{D_{i,t-1}}$.

event year.[10] A company's bond must trade once within the event window of [-5, +5] surrounding the event or announcement date with at least one trade in the estimation window of [-40, -6]. If a bond matures or is called in the estimation window, it is excluded from the sample.

Variable Measures

The main bond trading variables include the daily average number of trades and the daily average trading volume. Trade volume is the product of the daily average number of trades and the average daily trade size. Raw bond returns are calculated as the daily average holding period return using the clean price. Year to maturity is calculated as the number of years between the year of the event and the maturity year of the bond.

Control variables include firm size, sales, return on assets (ROA), and leverage. Firm size is equity market capitalization calculated using daily closing share price and shares outstanding from CRSP. Sales is the firm's annual sales in millions. ROA is defined as operating income before depreciation divided by total assets. Leverage is the sum of total debt, including current liabilities and total long-term debt, divided by stockholders' equity.

Descriptive Statistics

Table 1 provides the event counts of each corporate event separated into investment grade and high yield grade. Total event count in column (1) is the total number of events over the sample period that pass the filters. The total number of firms in column (2) is the number of unique firms that experience an event or announcement. As some firms engage in a certain event more than once over the sample period, the total number of firms may be less than the total number of events. The number of total bonds in column (3) includes a count of unique bond

[10] The crsp_bond_link on WRDS is used to determine when a bond starts and ends trading on TRACE. If a bond has the same start and end date, it is removed from the bond sample. If a bond matures before the event year, then it is removed from the sample.

symbols traded around the event window. There are more voluntary CEO turnovers events compared to involuntary turnovers with there being more high yield bonds in both samples. There are more dividend increases announcements relative to dividend decreases with there being more high yield bonds in both samples. There are more target firms than acquiring firms. There are more high yield bonds relative to investment grade bonds in SEO announcements, spin-off events, stock split events, and ticker symbol change events.

Table 2 reports the descriptive statistics for each corporate event or announcement in the sample. Panel A compares investment grade bonds with high yield bonds of firms in the voluntary CEO turnover events. Panel B compares investment grade bonds with high yield bonds of firms in the involuntary CEO turnover events. Investment grade bonds of firms in the voluntary and involuntary turnover samples tend to have less trades and trade volume compared to high yield bonds, longer maturity, and tend to be larger in size with higher ROA. Panel C compares investment grade bonds with high yield bonds of firms with dividend increase announcements. Panel D compares investment grade bonds with high yield bonds of firms with dividend decrease announcements. Investment grade bonds of firms in the dividend increase sample tend to have more trade volume with larger trade size compared to high yield bonds, longer maturity, and tend to be larger in size with higher profitability. Investment grade bonds of firms in the dividend decrease sample tend to have less trades and trade volume compared to high yield bonds, longer maturity, and tend to be larger in size with higher profitability.

Panel E compares investment grade bonds with high yield bonds of acquiring firms in the M&A sample. Panel F compares investment grade bonds with high yield bonds of target firms in the M&A sample. Investment grade bonds of acquiring and target firms tend to have less trade volume with smaller trade size compared to high yield bonds, longer maturity, and tend to be larger in size with higher profitability. Panel G compares investment grade bonds with high yield bonds of firms in the SEO sample. Investment grade bonds experience less trading activity on average than high yield bonds, have longer maturity, and tend to be larger firms. Panel H compares investment grade bonds with high yield bonds of firms in the spin-off sample. Investment grade bonds experience less trading activity on average than high yield bonds, have longer maturity, and tend to be larger firms with higher profitability. Panel I compares investment grade bonds with high yield bonds of firms in the stock split sample. Investment grade bonds experience less trading activity on average than high yield bonds, have longer maturity, and tend to be larger firms with higher profitability. Panel J compares investment grade bonds with high yield bonds of firms in the ticker change sample. Investment grade bonds experience similar trading activity on average compared to high yield bonds, have longer maturity, and tend to be larger firms with similar ROAs.

Methods

We first start with an 11-day event window around the event or announcement day for each corporate event. We compute abnormal trading measures related to the abnormal number of trades and abnormal trading volume using the following equation:

$$Abnormal\ Trading\ Measure = Trading\ Measure_{i,t} - \overline{Trading\ Measure_{i}}\ , \quad (1)$$

where $Trading\ Measure_{i,t}$ is either the daily average number of trades or daily average volume for firm *i* on day *t* and the $\overline{Trading\ Measure_{i}}$ is the average of either the daily average number of trades or the daily average volume for firm *i* measured in a 35-day pre-event window [-40, -6]. $Abnormal\ Trading\ Measure$ is either abnormal trades or abnormal volume.

Next, we run OLS regressions using the following equation:

$$Y_i = \beta_0 + \beta_1 Post + \gamma X_i + \varepsilon_i\ , \quad (2)$$

where Y_i is the abnormal bond trading measures of firm i. *Post* is a dummy variable for the period [0, +5]. X_i is the set of control variables including years to maturity, raw bond returns, firm size, sales, ROA, leverage. Firm size, bond return, and sales are in logs.

4. Empirical Results

Univariate Analysis

Graphical depictions of the abnormal trading measures of investment grade and high yield bonds around the event window [-5, +5] are presented for each corporate event or announcement along with initial univariate analyses. Figure 1 panel A (B) graphs the abnormal number of trades (abnormal volume) for voluntary and involuntary CEO turnover events. Panel A shows that abnormal trades around the event date are negative for investment grade and high yield bonds of voluntary turnovers and investment grade bonds of involuntary turnovers. Only high yield bonds of involuntary turnovers experience an increase in trading activity in terms of trades on days 0, -3, and 3. Panel B shows that abnormal volume around the event date are negative for investment grade and high yield bonds of voluntary turnovers. Investment grade and high yield bonds of involuntary turnovers experience an increase in trading volume on day 0 and peaks on day 1. Table 3 presents the t-test results of an 11-day events study with the voluntary turnover sample in panel A and the involuntary turnover sample in panel B. Columns (1) and (2) use the abnormal trades and abnormal volume measures, respectively, for the investment grade sample. Columns (3) and (4) use the abnormal trades and abnormal volume measures, respectively, for the high yield sample. For the voluntary turnover sample in panel A, both investment grade and high yield bonds experience negative abnormal trades and volume. For the voluntary turnover sample in panel B, both investment grade and high yield bonds experience positive abnormal volume on day t+1 with significantly positive abnormal volume lasting until day t+3 for the high yield sample. Overall, univariate results show that high yield bonds of firms with an involuntary CEO change experience increased trading activity.

Figure 2 panel A (B) graphs the abnormal number of trades (abnormal volume) for dividend change announcements. Panel A (B) shows that the most drastic change in trading activity is associated with abnormal trades (abnormal volume) which peak on day -3 (-4) and day +1 (+1) for high yield bonds of firms with dividend decrease announcements. Results related to abnormal trades are muted for both types of bonds for firms with dividend increase announcements and for investment grade bonds of firms with dividend decrease announcements. Results related to abnormal volume shows an increase in trading of investment grade bonds of firms with dividend increase (decrease) announcements on day 0 (+1). Table 4 presents the t-test results of an 11-day events study with the dividend increase sample in panel A and the dividend decrease sample in panel B. Columns (1) and (2) use the abnormal trades and abnormal volume measures, respectively, for the investment grade sample. Columns (3) and (4) use the abnormal trades and abnormal volume measures, respectively, for the high yield sample. Panel A shows that abnormal trades is positive and significant on day 0 for both types of bonds with the effects lasting longer for high yield bonds up to t+5. Panel B shows that abnormal volume (abnormal trades) is positive and significant on day 0 and t+1 for investment grade (high yield) bonds. Abnormal trades remain elevated up to t+5 for high yield bonds in the dividend decrease sample. Overall, results indicate higher levels of trading activity in high yield bonds in both dividend increase and decrease samples with increased levels of trading in investment grade bonds for the dividend decrease sample.

Figure 3 panel A (B) graphs the abnormal number of trades (abnormal volume) for acquiring and target firms of M&A announcements. In both panels, there is a peak in trading activity related to investment grade and high yield bonds of target firms on day 0. The trading activity in acquiring firms is not as drastic with some increased volume day 0 for both types of bonds. Table 5 presents the t-test results of an 11-day events study with the acquiring firms in panel A and the target firms in panel B. Panel A shows that abnormal trades and abnormal volume are positive and significant from day 0 to t+3 for investment grade bonds of acquiring firms, while abnormal trades (abnormal volume) are positive and significant on t+1 and t+2 (t+1) for high yield bonds of acquiring firms. Panel B shows that abnormal volume is positive and significant from day 0 to t+3 for investment grade bonds of target firms, while abnormal trades and abnormal volume are positive and significant from day 0 to t+5 for high yield bonds of target firms. Overall, the results indicate that bond trading increases for both types of bonds for acquiring and target firms.

Figure 4 panel A (B) graphs the abnormal number of trades (abnormal volume) for SEO announcements. Panel A shows that high yield bonds experience a peak in abnormal trades two days post-announcement. Panel B shows that abnormal volume peaks for investment grade (high yield) bonds on one day (two days) post-announcement. Table 6 presents the t-test results of an 11-day events study around SEOs. Abnormal trades (abnormal volume) are positive and significant on t+1 (t+1 and t+2) for high yield bonds. Abnormal volume is significantly negative for investment grade bonds on day 0. Overall, the results indicate that there is a slow reaction to SEOs when it comes to trading high yield bonds.

Figure 5 panel A (B) graphs the abnormal number of trades (abnormal volume) for stock split events. Panel A shows that high yield bonds experience a peak in abnormal trades three days pre-announcement. Panel B shows that abnormal volume peaks for investment grade and high yield bonds on two days post-announcement. Table 7 presents the t-test results of an 11-day events study around stock splits. Abnormal trades (abnormal volume) are negative and significant on t+4 (day 0 and t+3) for investment grade bonds. Abnormal trades (abnormal volume) are significantly negative for high yield bonds on t-2 (t+4). Overall, the results indicate that there is no increase in abnormal trading activity when it comes to stock split events.

Figure 6 panel A (B) graphs the abnormal number of trades (abnormal volume) for spin-off events. Panel A shows that high yield bonds experience a peak in abnormal trades one day post-announcement. Panel B shows that abnormal volume peaks for high yield bonds on day -2 and +1. Trading activity in investment grade bonds is negative or around zero. Table 8 presents the t-test results of an 11-day events study around spin-offs. Abnormal trades (abnormal volume) are negative and significant on t-4 (t-4 and t-1) for investment grade bonds. Abnormal trades (abnormal volume) are significantly positive for high yield bonds on t+1 and t+2 (t+1). Overall, the results indicate that there is no increase in abnormal trading activity in investment grade bonds but there is increase trading in high yield bonds post-event when it comes to spin-off events.

Figure 7 panel A (B) graphs the abnormal number of trades (abnormal volume) for ticker change events. Panel A shows that investment grade (high yield) bonds experience a peak in abnormal trades one day (two days) pre-announcement (post-announcement). Panel B shows that abnormal volume peaks for investment grade (high yield) bonds on two days (one day) post-announcement. Table 9 presents the t-test results of an 11-day events study around ticker symbol changes. Abnormal trades are negative and significant on t-4, day 0, and t+5 (t-3 and t-1) for investment grade bonds. Abnormal volume is significantly negative on t-3 and t-1, but significantly positive on t+2 for investment grade bonds. Abnormal volume is significantly negative for high yield bonds on t-1 and t+2. Overall, the results indicate that there is an increase in abnormal volume for investment grade bonds, but there is no increase in abnormal trading activity for high yield bonds when it comes to ticker changes.

Multivariate Analysis

To determine if other factors affect trading activity around corporate events, we employ a multivariate regression based on equation (2). The regressions include a *Post* dummy variable coded for 1 for the window [0, +5] and 0 for the window [-5, -1]. All regression independent variables include the log of annual sales, log of firm size, ROA, leverage, years to maturity, and log of bond return. Tables 10 to 16 present the multivariate analysis related to each unscheduled corporate event.

Table 10 reports the coefficient estimates for the voluntary and involuntary CEO turnover samples separated into investment grade and high yield bonds. Columns (1) – (2) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the investment grade bonds in the voluntary CEO turnover sample. Columns (3) – (4) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the high yield bonds in the voluntary CEO turnover sample. Columns (5) – (6) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the investment grade bonds in the involuntary CEO turnover sample. Columns (7) – (8) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the high yield bonds in the involuntary CEO turnover sample. *Post* is positive but insignificant in the voluntary CEO turnover sample which suggests that bond traders do not react to this corporate event. *Post* is positive and significant related to abnormal volume in the involuntary CEO turnover sample for both investment grade and high yield bonds. Abnormal trades are positive but insignificant in this sample. These results indicate that trading activity increases after involuntary CEO turnovers but not to voluntary CEO turnovers.

Table 11 reports the coefficient estimates for the dividend increase and decrease samples separated into investment grade and high yield bonds. *Post* is significantly positively related to abnormal volume in the dividend increase sample for both investment grade and high yield bonds. Abnormal trades are positive but insignificant in this sample. In the dividend decrease sample, *Post* is significantly positively related to abnormal volume for high yield bonds. Taking these results together, bond traders react to dividend increase announcements by trading investment grade and high yield bonds but only trade high yield bonds of firms with dividend decrease announcements. The findings are consistent with the information content and free cash flow hypotheses as there is value-relevant information associated with dividend change announcements and bond traders react by adjusting their new expectations of the firms.

Table 12 reports the coefficient estimates for the acquiring and target firms in the M&A samples separated into investment grade and high yield bonds. *Post* is significantly positively related to abnormal trades and abnormal volume in the acquirer sample for both investment grade (1.60 and 932,958, respectively) and high yield (2.51 and 3,297,362, respectively) bonds. *Post* is significantly positively related to abnormal trades (27.90) and abnormal volume (21,608,611) in the target firm sample for high yield bonds only. The larger magnitude of the coefficient on *Post* suggests more trading activity in high yield bonds of target firms as these firms tend to have higher leverage and are less profitable. These results may support the coinsurance and wealth redistribution hypotheses. The regression results suggest that bond traders increase trading activity post M&A announcements in bonds of acquiring firms and in the high yield bonds of target firms.

Table 13 reports the coefficient estimates for the SEO sample separated into investment grade and high yield bonds. Columns (1) – (2) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the investment grade bonds, while columns (3) – (4) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the high yield bonds. *Post* is significantly positively related to abnormal trades and abnormal volume for high yield bonds but only for abnormal volume in investment grade bonds. Overall, bond traders increase trading in the bonds of firms with SEO announcements.

Table 14 reports the coefficient estimates for the spin-off sample separated into investment grade and high yield bonds. *Post* is significantly positively related to abnormal trades for high yield bonds while other measures of trading activity are insignificant for investment grade and high yield bonds. Overall, there is weak evidence that bond traders increase trading in the bonds of firms with spin-off events.

Table 15 reports the coefficient estimates for the stock split sample separated into investment grade and high yield bonds. *Post* is negative and insignificant for abnormal trades and abnormal volume in both types of bonds. Overall, bond traders do not increase trading in the bonds of firms with stock split events as they may view this as a cosmetic event.

Table 16 reports the coefficient estimates for the ticker change sample separated into investment grade and high yield bonds. Columns (1) – (2) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the investment grade bonds, while columns (3) – (4) presents the results on the abnormal number of trades and abnormal volume as the dependent variables for the high yield bonds. *Post* is insignificantly related to abnormal trades and abnormal volume for both types of bonds. Similar to stock splits, bond traders do not increase trading in the bonds of firms with ticker change events as this event may be viewed as cosmetic in nature.

5. Conclusion

Research examining corporate events focuses primarily on equity markets. With the dissemination of corporate bond data through TRACE, researchers are gaining interest in how traders react to corporate events in the corporate bond market (Chen, Ramaya, and Wu, 2020; Kedia and Zhou, 2014; Tsai and Wu 2015; Wei, Truong, and Do, 2020). Most of the focus in these papers are centered on bond prices and abnormal bond returns, but does not examine whether trading activity changes.

Information asymmetry around corporate events, particularly the unscheduled events, may contain value-relevant information to bond traders and cause reactions in the bond market, which may affect bond liquidity. This paper seeks to examine how corporate bonds trade as a response to corporate events that usually come as a surprise to the market. Unscheduled corporate events include CEO turnovers, dividend changes, mergers and acquisitions (M&As), seasoned equity offerings (SEOs), spin-offs, stock splits, and ticker symbol changes.

Although some events experience an increase in trading activity, as measured by the abnormal number of trades and abnormal trading volume, some events did not significantly change the trading activity in their firms' bonds. Overall, bond traders react to involuntary CEO turnover events, dividend change events, M&A announcements, SEO announcements, and spin-off events, but not to voluntary CEO turnover events, stock splits, and stock ticker changes. The findings of changes or no changes in corporate bond trading activity around these seven unscheduled corporate events provide insight into bond trader behavior and what motivates trading in a market that is relatively illiquid and costly to transact in.

References

Adams, J. C., & Mansi, S. A. (2009). CEO turnover and Bondholder Wealth. *Journal of Banking & Finance*, *33*(3), 522–533.

Billett, M. T., King, T.-H. D., & Mauer, D. C. (2004). Bondholder wealth effects in mergers and acquisitions: New evidence from the 1980s and 1990s. *The Journal of Finance*, *59*(1), 107–135.

Chen, F., Ramaya, K., & Wu, W. (2020). The wealth effects of merger and acquisition announcements on bondholders: New evidence from the over-the-counter market. *Journal of Economics and Business*, *107*, 105862.

Chemmanur, T. J., & Yan, A. (2004). A theory of corporate spin-offs. *Journal of Financial Economics*, *72*(2), 259–290.

Clayton, M. C., Hartzell, J. C., & Rosenberg, J. (2005). The impact of CEO turnover on equity volatility. *The Journal of Business*, *78*(5), 1779–1808.

Dhillon, U. S., & Johnson, H. (1994). The effect of dividend changes on stock and bond prices. *The Journal of Finance*, *49*(1), 281–289.

Eberhart, A. C., & Siddique, A. (2002). The long-term performance of corporate bonds (and stocks) following seasoned equity offerings. *Review of Financial Studies*, *15*(5), 1385–1406.

Fama, E. F., Fisher, L., Jensen, M. C., & Roll, R. (1969). The Adjustment of Stock Prices to New Information. *International Economic Review*, *10*(1), 1–21.

Gao, X., & Ritter, J. R. (2010). The marketing of seasoned equity offerings. *Journal of Financial Economics*, *97*(1), 33–52.

Gentry, R. J., Harrison, J. S., Quigley, T. J., & Boivie, S. (2021). A database of CEO turnover and dismissal in S&P 1500 firms, 2000–2018. *Strategic Management Journal*, *42*(5), 968–991.

Goldstein, M. A., Hotchkiss, E. S., & Sirri, E. R. (2006). Transparency and liquidity: A controlled experiment on corporate bonds. *Review of Financial Studies*, *20*(2), 235–273.

Grinblatt, M. S., Masulis, R. W., & Titman, S. (1984). The valuation effects of stock splits and stock dividends. *Journal of Financial Economics, 13*(4), 461-490.

Handjinicolaou, G., & Kalay, A. (1984). Wealth redistributions or changes in firm value. *Journal of Financial Economics*, *13*(1), 35–63.

Head, A., Smith, G., & Wilson, J. (2009). Would a stock by any other ticker smell as sweet? *The Quarterly Review of Economics and Finance*, *49*(2), 551–561.

Huson, M. R., Malatesta, P. H., & Parrino, R. (2004). Managerial Succession and firm performance. *Journal of Financial Economics*, *74*(2), 237–275.

Ikenberry, D. L., Rankine, G., & Stice, E. K. (1996). What do stock splits really signal? *Journal of Financial and Quantitative Analysis, 31*(3), 357.

Jankowitsch, R., & Pauer, F. (2021). The effect of credit, liquidity and rollover risk on bondholder wealth in mergers and acquisitions. *SSRN Electronic Journal*. https://doi.org/10.2139/ssrn.3859921

Jensen, M. C. (1986). Agency costs of free cash flow, corporate finance, and takeovers. *The American economic review*, *76*(2), 323-329.

Kadapakkam, P.-R., & Misra, L. (2007). What's in a nickname? price and volume effects of a pure ticker symbol change. *Journal of Financial Research*, *30*(1), 53–71.

Kedia, S., & Zhou, X. (2014). Informed trading around acquisitions: Evidence from corporate bonds. *Journal of Financial Markets*, *18*, 182–205.

Maxwell, W. F., & Rao, R. P. (2003). Do spin-offs expropriate wealth from bondholders? *The Journal of Finance*, *58*(5), 2087–2108.

Michayluk, D., & Zhao, R. (2010). Stock splits and bond yields: Isolating the signaling hypothesis. *Financial Review*, *45*(2), 375–386.

Miller, M. H., & Modigliani, F. (1961). Dividend policy, growth, and the valuation of shares. *The Journal of Business*, *34*(4), 411.

Minnick, K., & Raman, K. (2013). Why are stock splits declining? *Financial Management*, *43*(1), 29–60.

Nissim, D., & Ziv, A. (2001). Dividend changes and future profitability. *The Journal of Finance*, *56*(6), 2111–2133.

Tsai, H.-J., & Wu, Y. (2015). Bond and stock market response to unexpected dividend changes. *Journal of Empirical Finance*, *30*, 1–15.

Veld, C., & Veld-Merkoulova, Y. V. (2004). Do spin-offs really create value? The European case. *Journal of Banking & Finance*, *28*(5), 1111–1135.

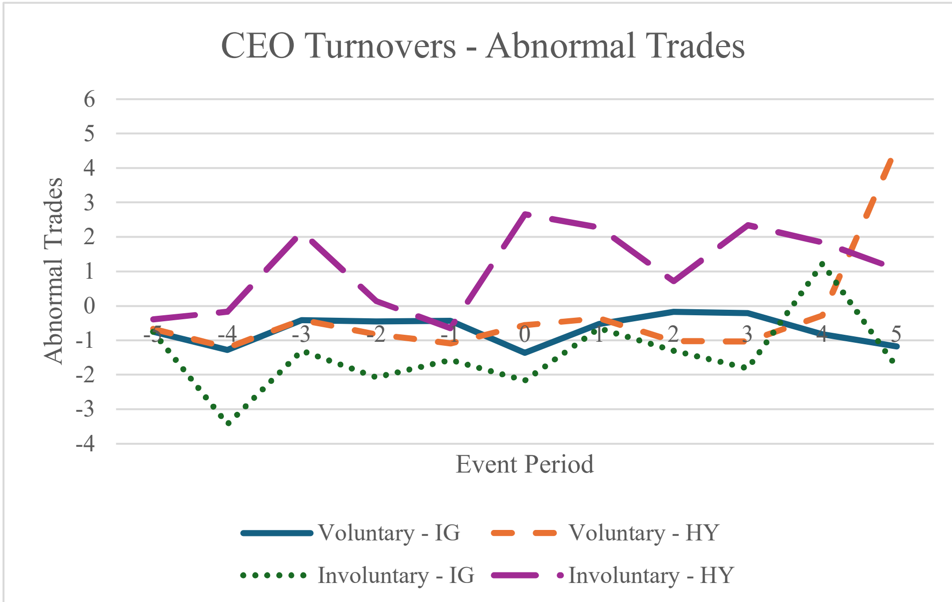
Wei, X., Truong, C., & Do, V. (2020). When are dividend increases bad for corporate bonds? *Accounting & Finance*, *60*(2), 1295–1326.

Weisbach, M. S. (1995). CEO turnover and the firm's investment decisions. *Journal of Financial Economics*, *37*(2), 159–188.

Woodley, M., DaDalt, P., & Wingender, J. R. (2020). The Price and volume response to earnings announcements in the corporate bond market. *Financial Review*, *55*(4), 669–696.

Xing, X., Anderson, R. I., & Hu, Y. (2016). What's a name worth? the impact of a likeable stock ticker symbol on firm value. *Journal of Financial Markets*, *31*, 63–80.

Panel A: Abnormal Trades



Panel B: Abnormal Volume

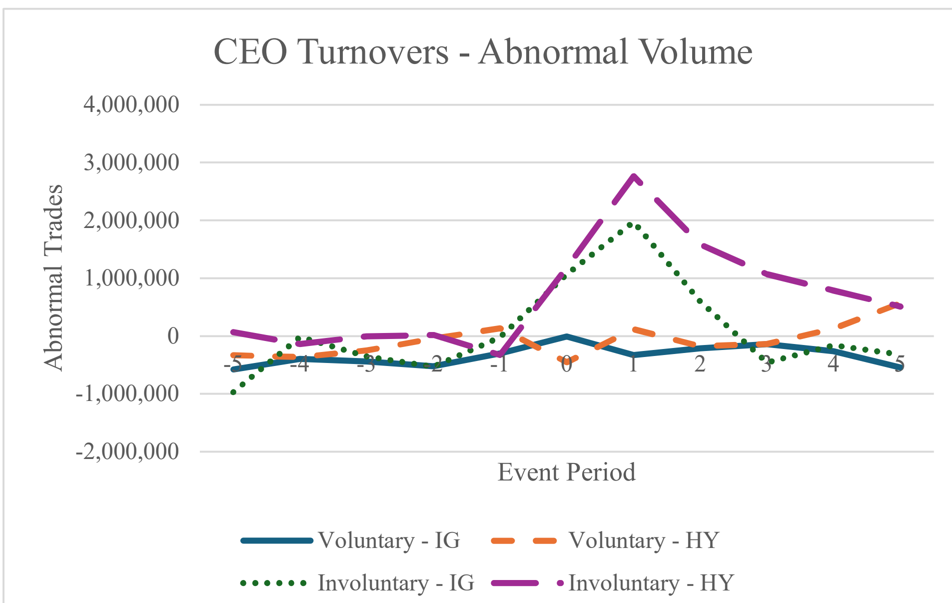
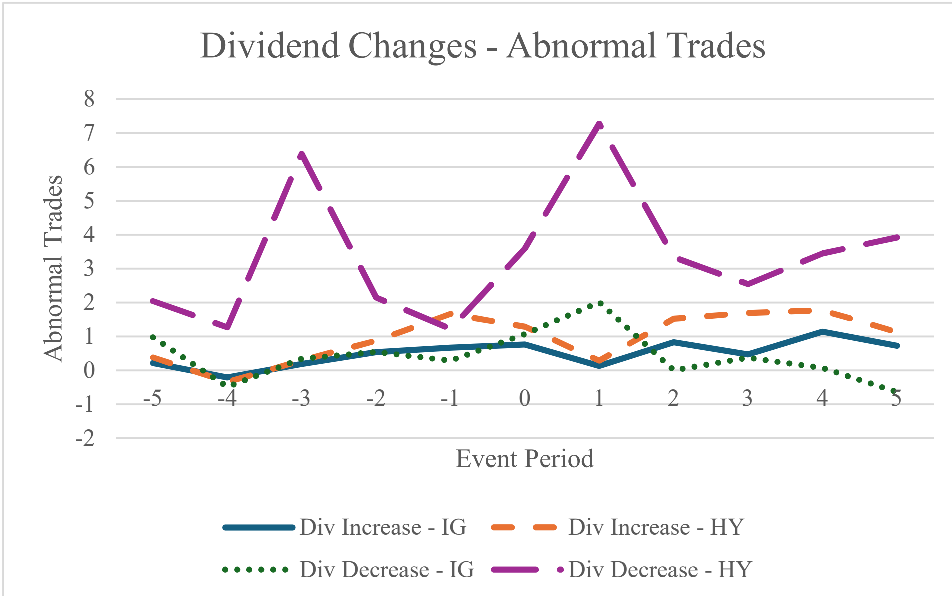


Figure 1. Trading activity around CEO turnover events.

This figure graphs the abnormal number of trades (Panel A) and abnormal trading volume (Panel B) of bonds for firms in the voluntary and involuntary CEO turnover samples separated into investment grade and high yield in the event window of [-5, +5]. The solid blue line represents the investment grade bonds of firms with voluntary turnover events while the short dash orange line represents the high yield bonds of firms with voluntary turnover events. The dotted green line represents the investment grade bonds of firms with involuntary turnover events while the long dash purple line represents the high yield bonds of firms with involuntary turnover events.

Panel A: Abnormal Trades



Panel B: Abnormal Volume

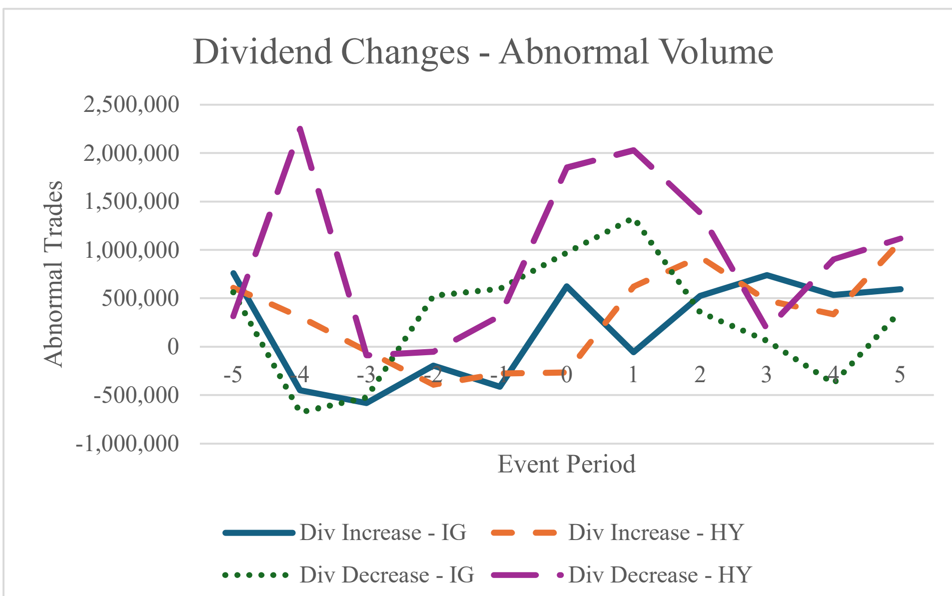
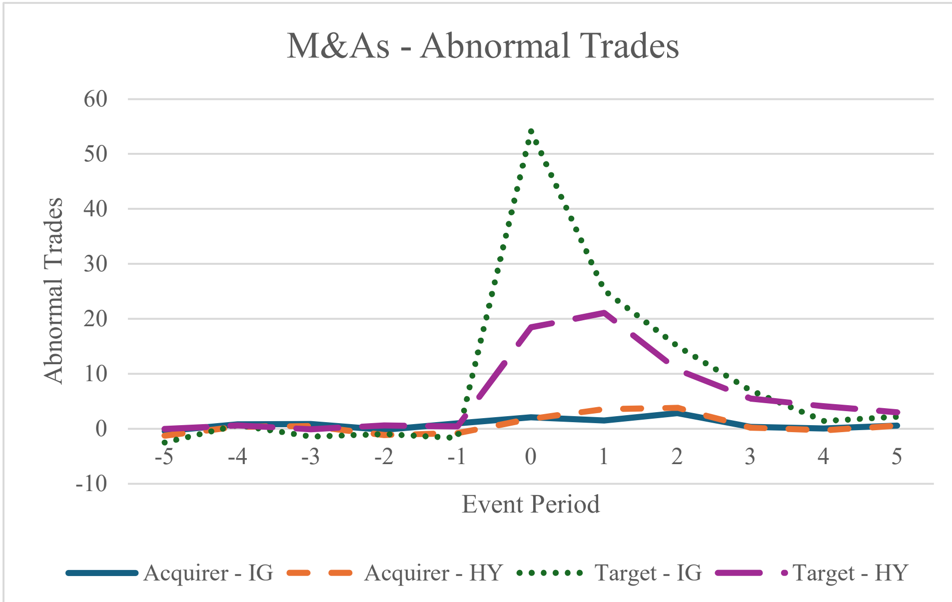


Figure 2. Trading activity around dividend change announcements.

This figure graphs the abnormal number of trades (Panel A) and abnormal trading volume (Panel B) of bonds for firms in the dividend increase and decrease samples separated into investment grade and high yield in the event window of [-5, +5]. The solid blue line represents the investment grade bonds of firms with dividend increase announcements while the short dash orange line represents the high yield bonds of firms with dividend announcements events. The dotted green line represents the investment grade bonds of firms with dividend decrease announcements while the long dash purple line represents the high yield bonds of firms with dividend decrease announcements.

Panel A: Abnormal Trades



Panel B: Abnormal Volume

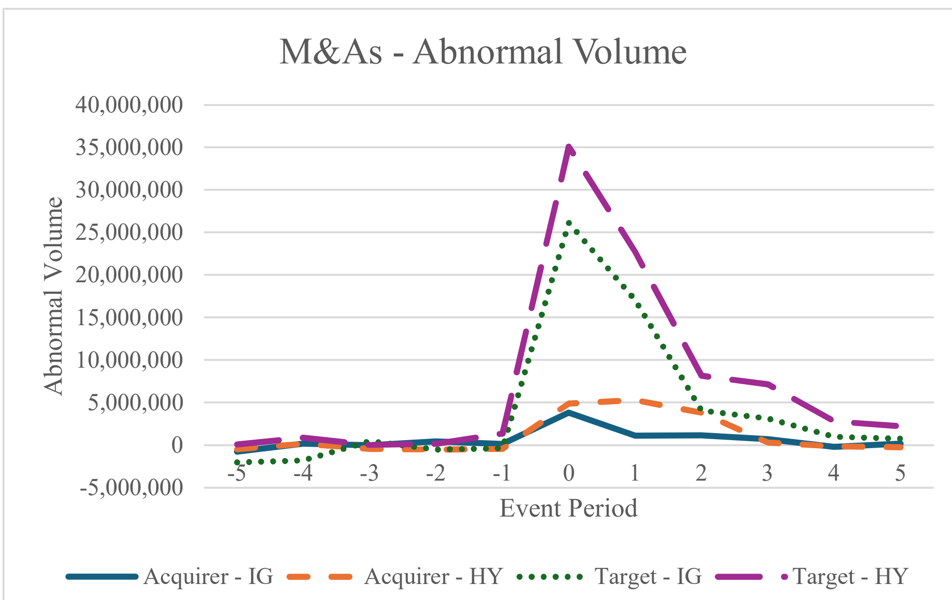
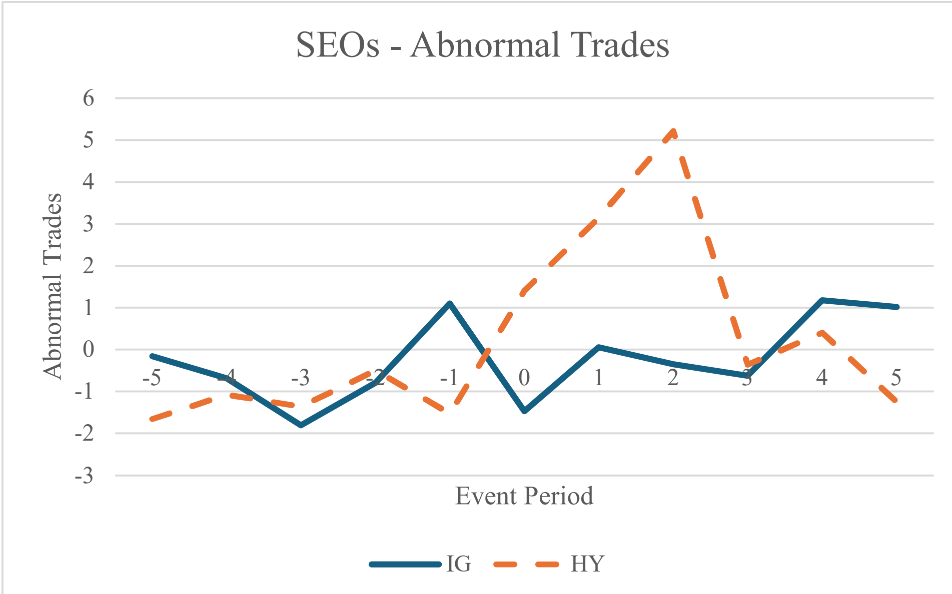


Figure 3. Trading activity around M&A announcements.

This figure graphs the abnormal number of trades (Panel A) and abnormal trading volume (Panel B) of bonds for firms in the M&A samples separated into investment grade and high yield in the event window of [-5, +5]. The solid blue line represents the investment grade bonds of acquiring firms while the short dash orange line represents the high yield bonds of acquiring firms. The dotted green line represents the investment grade bonds of target firms while the long dash purple line represents the high yield bonds of target firms.

Panel A: Abnormal Trades



Panel B: Abnormal Volume

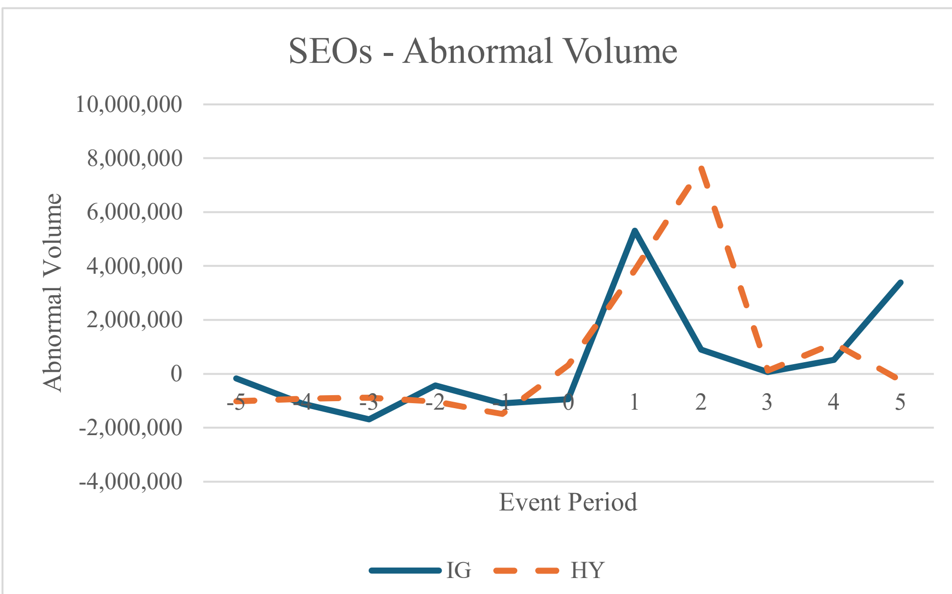
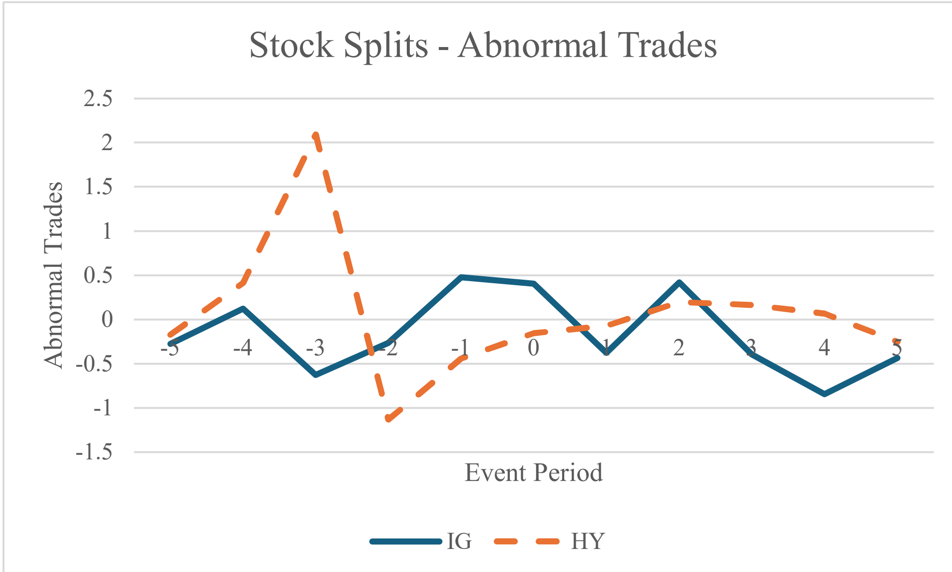


Figure 4. Trading activity around SEO announcements.

This figure graphs the abnormal number of trades (Panel A) and abnormal trading volume (Panel B) of bonds for firms in the SEO sample separated into investment grade and high yield in the event window of [-5, +5]. The solid blue line represents the investment grade bonds while the short dash orange line represents the high yield bonds in the sample.

Panel A: Abnormal Trades



Panel B: Abnormal Volume

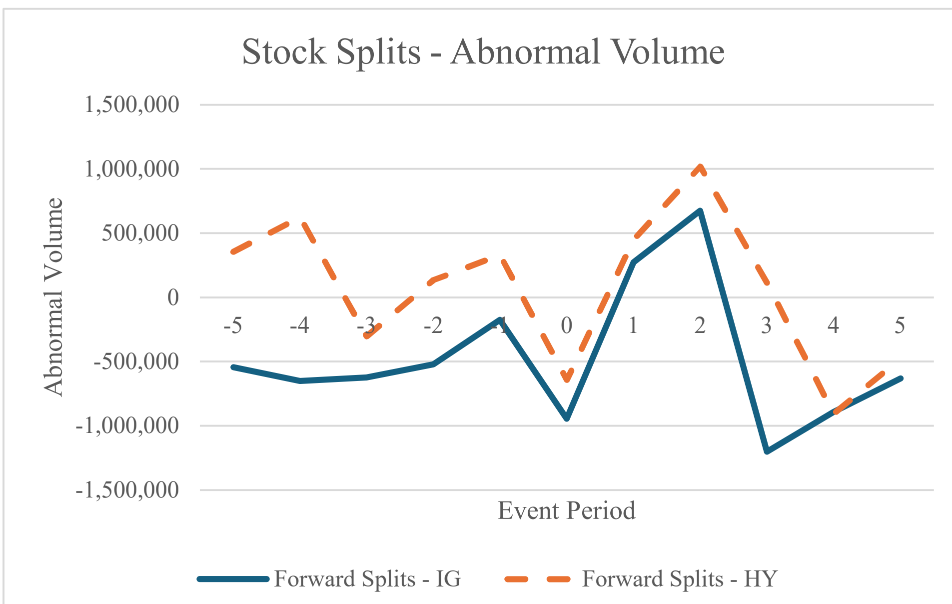
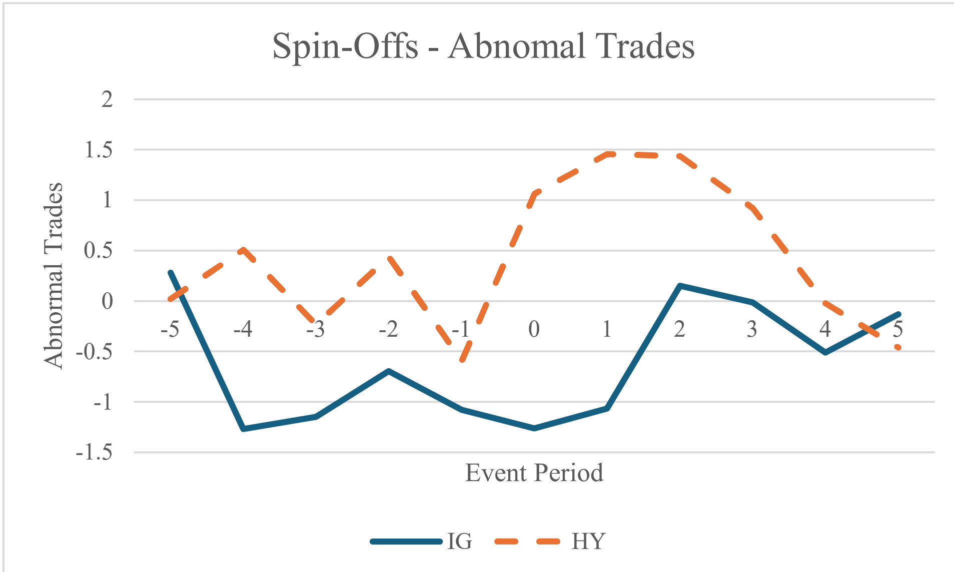


Figure 5. Trading activity around stock split events.

This figure graphs the abnormal number of trades (Panel A) and abnormal trading volume (Panel B) of bonds for firms in the stock split sample separated into investment grade and high yield in the event window of [-5, +5]. The solid blue line represents the investment grade bonds while the short dash orange line represents the high yield bonds in the sample.

Panel A: Abnormal Trades



Panel B: Abnormal Volume

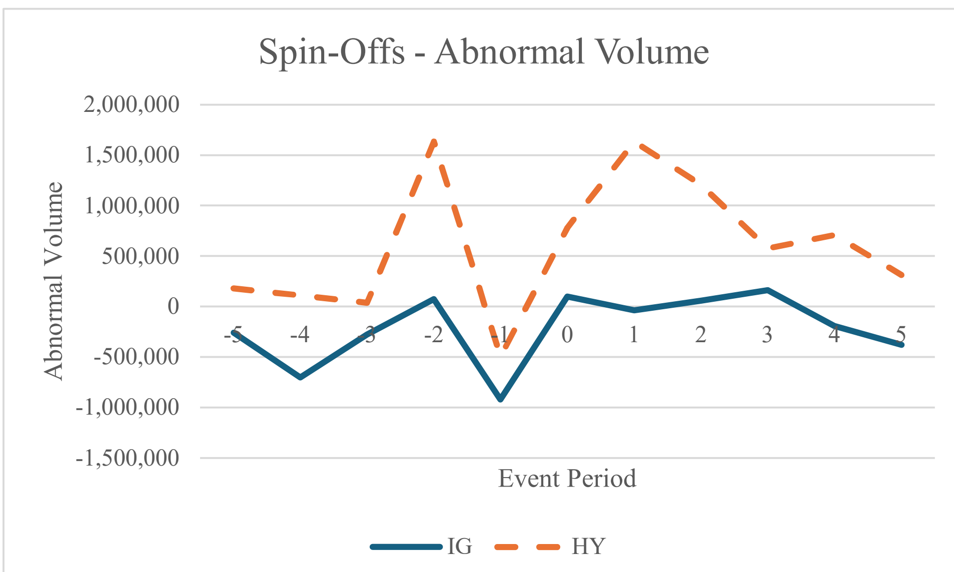
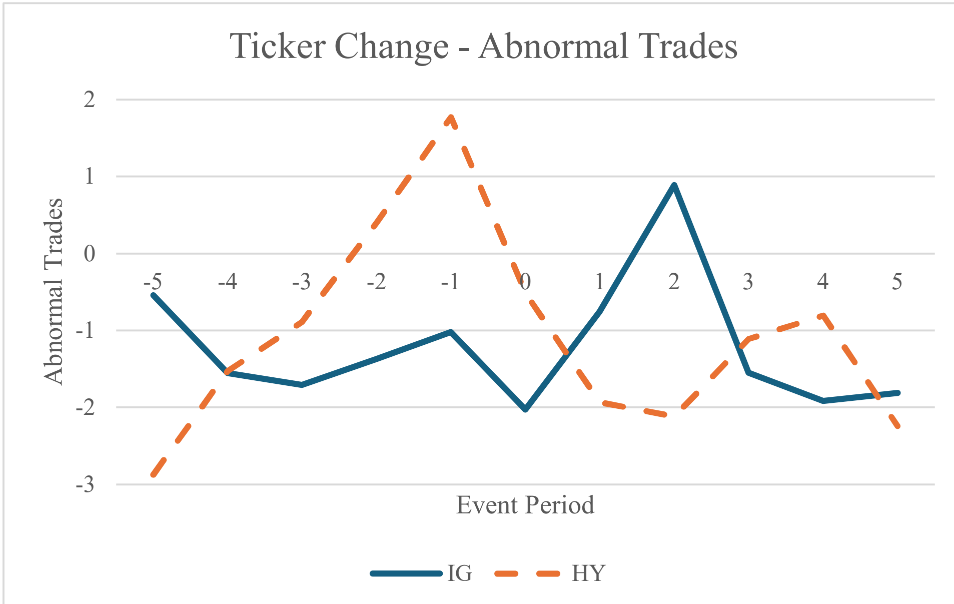


Figure 6. Trading activity around spin-off events.

This figure graphs the abnormal number of trades (Panel A) and abnormal trading volume (Panel B) of bonds for firms in the spin-off sample separated into investment grade and high yield in the event window of [-5, +5]. The solid blue line represents the investment grade bonds while the short dash orange line represents the high yield bonds in the sample.

Panel A: Abnormal Trades



Panel B: Abnormal Volume

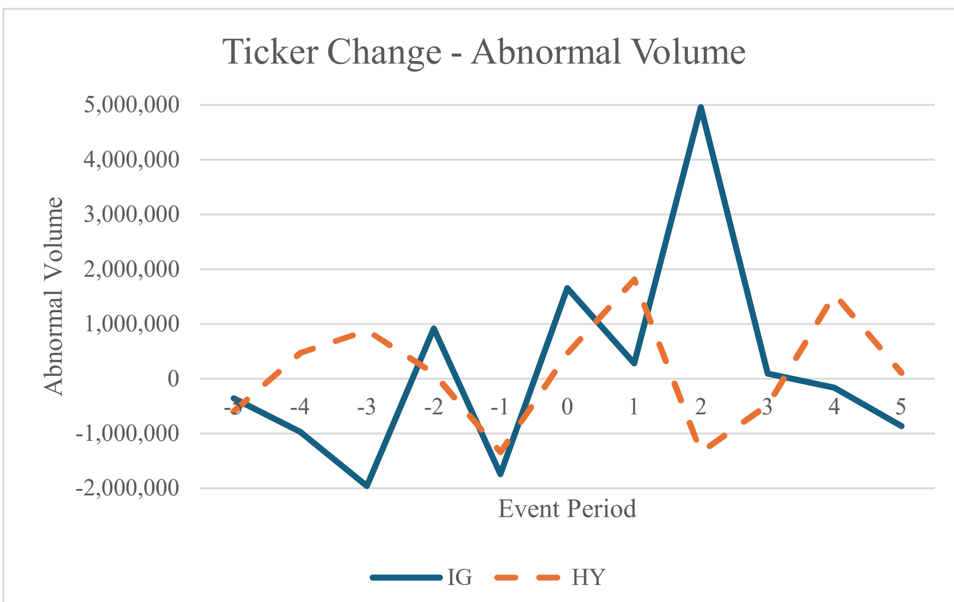


Figure 7. Trading activity around ticker change events.

This figure graphs the abnormal number of trades (Panel A) and abnormal trading volume (Panel B) of bonds for firms in the ticker change sample separated into investment grade and high yield in the event window of [-5, +5]. The solid blue line represents the investment grade bonds while the short dash orange line represents the high yield bonds in the sample.

Table 1
Number of Events
This table provides the counts of each corporate event or announcement over the sample period of January 2012 to December 2021. Total events indicate all the events that occurred over the sample period. The number of firms include all unique firms that experienced an event. Number of bonds are the unique bond symbols that traded over the event window of [-5, +5] and traded over the full estimation period of [-45, -6].

	Total Events	No. of Firms	No. of Bonds
CEO Turnover			
Voluntary – IG	129	120	937
Voluntary – HY	210	190	685
Involuntary – IG	48	41	537
Involuntary – HY	102	92	452
Dividend Changes			
Increase – IG	901	266	2,158
Increase – HY	1,008	354	1,121
Decrease – IG	135	97	918
Decrease – HY	260	173	747
Mergers & Acquisitions			
Acquirer – IG	89	57	930
Acquirer – HY	107	80	379
Target – IG	140	28	139
Target – HY	92	91	202
SEO – IG	8	8	35
SEO – HY	65	53	118
Spin-Offs – IG	50	45	354
Spin-Offs – HY	86	78	250
Stock Splits – IG	33	30	216
Stock Splits – HY	36	34	83
Ticker Changes – IG	22	30	56
Ticker Changes – HY	40	36	95

Table 2
Descriptive Statistics
This table reports the descriptive statistics for each corporate event or announcement between January 2012 to December 2021 over the [-5, +5] event window. Number of trades is the daily average number of trades. Trade size is the average daily quantity traded. Trade volume is the product of the daily average number of trades and the average daily trade size. Years to maturity is the difference between the event year and the maturity year. Raw bond return is the holding period of the bond price. Sales is the annual sales amount (in millions) sourced from Compustat. Firm size is calculated from daily closing price and shares outstanding from CRSP. ROA is defined as operating income before depreciation over total assets. Leverage is the sum of total debt in current liabilities and total long-term debt divided by stockholders' equity.

Panel A:	CEO Turnover - Voluntary							
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	5.705	6.7989	0.0909	41.5455	8.0622	14.2852	0.0909	170.6364
Trade Volume	1,861,367.6	2,200,044.4	2,727.2727	11,724,591	2,112,817.9	2,942,533.4	1,818.1818	21,575,879
Trade Size	306,741.42	287,518.67	909.0909	1,404,464.9	235,437.77	213,452.9	232.3232	959,208.33
Years to Maturity	10.5663	5.9042	0	29.5	5.7566	3.6823	0	22.8
Bond Return - Raw	0	0.0006	-0.0024	0.0013	0.0003	0.0025	-0.0056	0.0224
Sales	23,657.442	31,433.829	1,467.592	171,760	16,681.133	28,243.043	99.2815	171,760
Firm Size	44,425,845	59,615,549	403,768.31	347,900,000	27,586,232	51,289,687	144,942.99	347,900,000
ROA	0.0657	0.0818	-0.2371	0.237	0.0383	0.0887	-0.5143	0.237
Leverage	1.982	7.7981	-9.3747	72.5043	1.9511	6.6875	-8.4422	72.5043
Observations	120				190			
Panel B:	CEO Turnover - Involuntary							
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	14.2827	26.4336	0.6364	157.3636	12.8827	20.5264	0.0909	127.7273
Trade Volume	3,163,810.6	3,182,236.1	25,454.546	13,295,463	3,483,248.4	4,916,207.1	9,090.9091	24,816,364
Trade Size	301,410.56	225,996.62	11,818.182	912,525.78	335,773.43	490,521.1	1,818.1818	2,640,796.6
Years to Maturity	9.5613	5.3345	1.5	20.2667	5.2441	3.1938	0	18
Bond Return - Raw	-0.0001	0.0005	-0.0013	0.0018	0.0002	0.0015	-0.0027	0.0107
Sales	24,221.501	32,378.475	2056.6	140,237.21	13,101.034	23,661.97	219.297	135,071.86
Firm Size	47,510,910	64,421,145	568,453.46	242,900,000	20,182,454	46,032,104	57,097.035	242,900,000
ROA	0.0261	0.1161	-0.4249	0.3256	-0.0209	0.2823	-1.921	0.7207
Leverage	1.2319	2.7322	-6.1953	10.3808	4.3629	46.5947	-101.6122	432.2
Observations	41				92			
Panel C:	Dividend - Increase							

	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	15.6805	20.967	0.0909	165.1136	17.3619	22.941	0.0909	144.2386
Trade Volume	6,674,992.8	9,121,541.6	27,272.727	68,176,338	5,886,616.5	8,917,936.9	1,363.6364	94,469,386
Trade Size	397,292.72	279,366.26	9,522.7273	1,487,575.8	304,510.91	27,2154.5	454.5455	1,778,737.9
Years to Maturity	11.5011	5.5369	1	30.6667	6.4697	3.86	0	29
Bond Return - Raw	0	0.0003	-0.0016	0.0012	0	.0007	-0.0051	0.0042
Sales	30,087.612	53,090.615	349.2614	474,259	22,338.429	48,199.121	0	474,259
Firm Size	51,611,448	103,600,000	901,481.3	1,230,000,000	35,629,446	88,166,406	32,653.926	1,127,000,000
ROA	0.0836	0.0539	-0.0495	0.4204	0.0753	0.0805	-0.1603	0.7502
Leverage	0.7368	4.2021	-39.055	19.9743	1.4739	8.3074	-38.0711	118.5806
Observations	266				354			
Panel D:				Dividend - Decrease				
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	12.8207	23.2857	0.0909	167.5818	19.5682	30.3645	0.0909	168.7273
Trade Volume	3,819,374.7	7,040,235.9	4,545.4545	47,162,764	5,156,412.4	9,173,782.8	1,363.6364	83,929,018
Trade Size	305,726.51	288,695.73	2,704.5455	1,439,943	312,298.46	555,705.48	818.1818	6,426,701.3
Years to Maturity	9.6139	5.8849	1	23.937	5.9684	3.5674	0	22
Bond Return - Raw	0	0.0006	-0.0019	0.0026	0.001	0.0144	-0.0108	0.1883
Sales	25,261.463	41,943.076	546.697	264,757.55	15,779.103	35,036.618	129.018	274,515
Firm Size	49,879,598	188,000,000	586,170.49	1,789,000,000	25,299,170	148,300,000	34,293.409	1,934,000,000
ROA	0.0299	0.1038	-0.2627	0.2955	0.0044	0.1053	-0.3813	0.2955
Leverage	1.2774	2.2088	-13.3120	10.3612	0.6760	7.5894	-82.2723	18.1434
Observations	97				173			
Panel E:				M&A - Acquirers				
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	9.4823	11.1635	0.2727	52.4318	10.6916	14.5221	0.0909	104.1364
Trade Volume	3,328,758.2	4,391,891.2	1,363.6364	21,752,987	3,872,222.8	7,865,822.7	13,727.273	54,704,970
Trade Size	297,168.13	211,924.33	454.5455	974,890.02	342,561.29	327,203.07	3,542.2078	1,302,360.1
Years to Maturity	10.1179	4.1915	2	19.7778	5.3592	3.7042	0.8	25.5
Bond Return - Raw	-0.0001	0.0005	-0.0022	0.0019	0.0001	0.0007	-0.0017	0.0026
Sales	38,306.586	45,986.071	1,787.11	177,866	28,252.018	42,107.887	110.922	177,866
Firm Size	83,357,168	96,249,039	1,388,712.6	471,300,000	55,935,715	88,856,354	563,349.36	471,300,000
ROA	0.0588	0.0658	-0.2704	0.2162	0.0411	0.0879	-0.4248	0.2778

Leverage	2.0431	5.5157	0.1636	40.8466	2.3314	5.2732	0.0238	40.8466
Observations	57				80			
Panel F:	M&A - Targets							
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	19.1368	54.8565	0.6818	293.2727	10.3584	22.6368	0.0909	202.1818
Trade Volume	8,470,890.2	14,754,118	45,606.061	70,490,364	9,493,616.9	15,069,619	909.0909	100,100,000
Trade Size	570,874.97	523,193.77	35,454.546	2,061,477.9	679,178.84	660,217.97	909.0909	3,374,411.8
Years to Maturity	10.7817	8.1149	1.75	46	5.9393	4.3774	0.5	29
Bond Return - Raw	0.0003	0.0012	-0.0011	0.005	0.0012	0.0038	-0.0029	0.0298
Sales	19,911.184	41,329.7	1,267.5	177,866	3,526.4339	3,834.9755	190.939	16,126.8
Firm Size	36,750,620	87,694,461	2,740,242	471,300,000	5,156,302.3	8,467,568.7	20,691.395	48,781,820
ROA	0.0482	0.0683	-0.0997	0.2446	-0.0347	0.2444	-1.4081	0.1138
Leverage	1.1666	0.6510	0.4343	2.5016	4.3566	16.7131	-13.3791	96.7343
Observations	28				91			
Panel G:	Seasoned Equity Offerings							
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	5.6212	6.7293	1.3117	21.5455	9.2878	17.4966	0.0909	74.9697
Trade Volume	2,722,601.6	3,209,635.4	258,571.43	10,250,545	4,763,805.7	7,979,785.7	454.5455	34,443,818
Trade Size	374,257.17	186,453.52	106,072.61	696,522.73	419,533.34	368,004.45	454.5455	1,799,935.7
Years to Maturity	9.561	6.484	2	19.5	6.1757	3.914	2	26
Bond Return - Raw	-0.0001	0.0004	-0.0008	0.0004	0.0005	0.0019	-0.0034	0.0082
Sales	10,297.177	7,939.8433	1,597.292	23,152	4,120.4783	5,802.5129	0.035	24,420
Firm Size	23,632,068	21,020,588	9,610,473.6	72,806,433	6,419,737.5	11,729,073	129,669.88	76,513,451
ROA	-0.0575	0.1714	-0.4594	0.0405	-0.0767	0.2206	-0.9848	0.1028
Leverage	0.8765	0.4747	0.4019	1.7305	-2.2901	23.8495	-159.9677	9.3332
Observations	8				53			
Panel H:	Spin-offs							
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	7.3744	12.3427	0.4545	74.1169	7.3379	7.8581	0.0909	31.8636
Trade Volume	1,960,549.1	2,386,543.1	55,909.091	11,701,286	2,938,355.1	4,013,298.8	181.8182	20,125,309
Trade Size	291,763.49	237,889.35	18,116.883	89,1423.7	336,108.46	453,029.97	181.8182	3,124,757.6
Years to Maturity	9.2287	5.4443	0	19.4	5.8598	3.6377	0	22
Bond Return - Raw	0.0001	0.0005	-0.0007	0.0023	0	0.0013	-0.0034	0.0086

Sales	23,140.198	28,511.878	1,937.81	138,074	18,040.632	27,178.973	0	138,074
Firm Size	36,639,742	38,711,245	878,825.14	206,600,000	22,892,655	33,262,982	322,067.87	206,600,000
ROA	0.0536	0.0629	-0.1083	0.2955	0.0341	0.0815	-0.3637	0.2955
Leverage	1.3635	2.2992	-1.6137	10.9467	3.7032	27.0735	-25.3556	216.7426
Observations	45				78			
Panel I:				Stock Splits				
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	5.0464	6.4526	0.0909	29.5745	6.0477	6.9383	0.1818	34.4545
Trade Volume	2,104,353.4	2,325,850.1	6,515.1515	11,131,497	2,230,367.6	3,105,768.2	12,272.727	15,763,545
Trade Size	328,382.26	221,753.01	1,212.1212	727,633.07	375,500.71	428,474.25	7,727.2727	1,615,730.9
Years to Maturity	10.22	6.3247	2.6667	22	5.5531	4.2857	0	22
Bond Return - Raw	-0.0001	0.0005	-0.0016	0.001	-0.0001	0.0006	-0.0024	0.0011
Sales	26,998.269	51,145.008	2,176.529	264,757.55	22,210.331	49,413.373	2,566.392	274,515
Firm Size	125,500,000	359,200,000	3,579,041.3	1,971,000,000	119,300,000	371,500,000	2,955,957	2,140,000,000
ROA	0.118	0.0535	0.0498	0.2215	0.0867	0.0479	-0.0254	0.2207
Leverage	1.0529	0.9658	0.1519	4.7166	1.2747	1.0263	0.0562	4.7166
Observations	30				34			
Panel J:				Ticker Changes				
	Investment Grade				High Yield			
Variable	Mean	Std. Dev.	Min	Max	Mean	Std. Dev.	Min	Max
Num. of Trades	7.1949	3.6916	2.8182	16.9545	12.3956	15.4092	1.8182	63.8182
Trade Volume	3,981,146.5	4,844,537.3	138,454.55	17,219,273	3,976,562.4	3,867,742.2	283,818.18	13,862,727
Trade Size	663,058.35	787,731.33	43,250	2,893,166.2	584,096.77	859,015.87	51,832.53	3,856,845.5
Years to Maturity	8.0933	6.0128	0	19	5.7295	3.8466	0	20
Bond Return - Raw	0.0015	0.0143	-0.018	0.0475	0.0101	0.0834	-0.2433	0.2704
Sales	21,484.694	23,433.153	1,418.3	88,688.364	12,554.515	20,965.387	133.569	88,688.364
Firm Size	43,282,444	53,543,604	541,927.86	228,600,000	16,897,981	40,716,810	178,454.56	228,900,000
ROA	0.0454	0.0705	-0.033	0.2446	0.0464	0.1084	-0.0933	0.5025
Leverage	0.9212	0.8191	0.0501	3.1709	14.3552	76.4114	-14.8259	432.2
Observations	20				36			

Table 3
This table presents results from an 11-day event study around CEO turnover events. Panel A reports the results for voluntary CEO turnover events, and Panel B reports the results for involuntary CEO turnover events. Column (1) reports the results for abnormal number of trades in investment grade bonds. Column (2) reports the results for abnormal trading volume in investment grade bonds. Column (3) reports the results for abnormal number of trades in high-yield bonds. Column (4) reports the results for abnormal trading volume in high-yield bonds. The abnormal measures are computed by taking the daily measures minus the pre-event window daily average, where the pre-event window is measured from the preceding 35 trading days [-40, -6]. The *t*-tests test whether the abnormal trading measures are significantly different from zero. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
	Investment Grade		High Yield	
Panel A: Voluntary Turnover				
t-5	-0.75*	-576,052.89**	-0.66	-331,329.01
t-4	-1.28**	-399,291.77	-1.21**	-366,006.84
t-3	-0.42	-444,621.67*	-0.40	-249,399.79
t-2	-0.45	-526,282.70**	-0.83	-44,680.39
t-1	-0.44	-302,174.72	-1.08*	133,660.64
Day 0	-1.36**	-6,205.88	-0.56	-453,035.20**
t+1	-0.53	-329,838.04*	-0.37	117,942.04
t+2	-0.17	-212,264.15	-1.02	-177,643.79
t+3	-0.21	-143,774.34	-1.03	-139,328.16
t+4	-0.83	-264,084.39	-0.28	127,170.47
t+5	-1.18**	-549,130.44***	4.61	567,240.07
Panel B: Involuntary Turnover				
t-5	-0.75	-969,759.89*	-0.39	65,604.03
t-4	-3.43	-15,237.33	-0.17	-134,881.70
t-3	-1.30	-350,919.55	2.15	-5,999.08
t-2	-2.07	-529,143.21	0.14	15,838.60
t-1	-1.57	-21,176.11	-0.65	-326,340.85
Day 0	-2.17	1,068,541.78	2.66	1,191,195.91
t+1	-0.65	1,975,601.19*	2.28	2,766,827.56**
t+2	-1.30	600,234.02	0.72	1,584,378.96**
t+3	-1.81	-457,124.89	2.34	1,070,945.38*
t+4	1.23	-158,513.42	1.84	784,903.95
t+5	-1.77	-322,181.57	1.07	508,219.25

Table 4
This table presents results from an 11-day event study around dividend change announcements. Panel A reports the results for dividend increase events, and Panel B reports the results for dividend decrease events. Column (1) reports the results for abnormal number of trades in investment grade bonds. Column (2) reports the results for abnormal trading volume in investment grade bonds. Column (3) reports the results for abnormal number of trades in high-yield bonds. Column (4) reports the results for abnormal trading volume in high-yield bonds. The abnormal measures are computed by taking the daily measures minus the pre-event window daily average, where the pre-event window is measured from the preceding 35 trading days [-40, -6]. The *t*-tests test whether the abnormal trading measures are significantly different from zero. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
	Investment Grade		High Yield	
Panel A: Dividend Increases				
t-5	0.21	759,600.90	0.38	610,727.61
t-4	-0.21	-449,479.35	-0.34	310,772.36
t-3	0.18	-579,998.77*	0.30	-42,901.49
t-2	0.53	-193,949.58	0.87	-391,794.49
t-1	0.67*	-411,976.30	1.66***	-274,330.88
Day 0	0.76*	622,932.04	1.29**	-265,779.24
t+1	0.12	-57,892.14	0.29	625,065.05
t+2	0.83*	523,078.22	1.52**	927,221.98
t+3	0.47	739,509.20	1.70**	476,852.59
t+4	1.14**	535,901.04	1.77***	336,275.23
t+5	0.72	594,132.60	1.12**	1,089,753.14*
Panel B: Dividend Decreases				
t-5	0.97	564,664.36	2.04	315,450.68
t-4	-0.48	-676,758.19*	1.27	2,252,153.31
t-3	0.34	-521,148.31	6.39	-87,552.07
t-2	0.54	529,277.74	2.15	-49,539.74
t-1	0.29	599,103.42	1.22	318,190.62
Day 0	1.07	974,118.49*	3.60**	1,851,108.07
t+1	2.01	1,332,933.06**	7.28***	2,029,778.52**
t+2	0.01	357,464.95	3.33**	1,381,705.94
t+3	0.38	61,522.57	2.54**	179,971.93
t+4	0.07	-377,133.57	3.45**	902,963.47
t+5	-0.64	370,519.06	3.92**	1,119,853.72

Table 5

This table presents results from an 11-day event study around M&A announcements. Panel A reports the results for acquiring firms, and Panel B reports the results for target firms. Column (1) reports the results for abnormal trading quantity. Column (1) reports the results for abnormal number of trades in investment grade bonds. Column (2) reports the results for abnormal trading volume in investment grade bonds. Column (3) reports the results for abnormal number of trades in high-yield bonds. Column (4) reports the results for abnormal trading volume in high-yield bonds. The abnormal measures are computed by taking the daily measures minus the pre-event window daily average, where the pre-event window is measured from the preceding 35 trading days [-40, -6]. The *t*-tests test whether the abnormal trading measures are significantly different from zero. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
	Investment Grade		High Yield	
	Panel A: Acquirer			
t-5	-0.43	-766,615.61***	-1.24**	-491,146.23*
t-4	0.77	172,478.82	0.37	173,177.58
t-3	0.82	-45,518.09	0.47	-452,852.03*
t-2	-0.22	440,623.64	-1.14	-515,677.28*
t-1	0.94	109,411.95	-0.79	-440,684.31
Day 0	2.05**	3,823,304.70***	1.81	4,906,775.14
t+1	1.46*	1,117,578.28*	3.57**	5,294,880.76*
t+2	2.84**	1,144,705.24**	3.82**	3,800,190.19
t+3	0.35	673,461.38	0.22	292,410.30
t+4	0.05	-199,628.15	-0.28	-158,171.58
t+5	0.57	157,624.84	0.56	-245,552.04
	Panel B: Target			
t-5	-2.50	-2,027,557.79**	-0.03	84,901.84
t-4	0.70	-1,786,914.34**	0.63	856,775.59
t-3	-1.41	467,911.65	-0.07	26,843.77
t-2	-0.98	-508,378.53	0.63	148,279.44
t-1	-1.66	-383,576.64	0.46	1,348,135.44
Day 0	54.18	26,142,840.82*	18.47***	35,107,659.53***
t+1	25.17	17,054,407.49**	21.08*	22,697,133.67***
t+2	15.03	4,051,466.91*	10.76**	8,153,296.21***
t+3	6.93	3,125,645.98	5.48*	7,151,538.29***
t+4	1.45	992,651.53	4.12*	2,801,166.81***
t+5	2.17	753,054.31	2.98*	2,240,138.68**

Table 6

This table presents results from an 11-day event study around seasoned equity offering (SEO) announcements. Column (1) reports the results for abnormal number of trades in investment grade bonds. Column (2) reports the results for abnormal trading volume in investment grade bonds. Column (3) reports the results for abnormal number of trades in high-yield bonds. Column (4) reports the results for abnormal trading volume in high-yield bonds. The abnormal measures are computed by taking the daily measures minus the pre-event window daily average, where the pre-event window is measured from the preceding 35 trading days [-40, -6]. The *t*-tests test whether the abnormal trading measures are significantly different from zero. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
	Investment Grade		High Yield	
t-5	-0.16	-172,055.44	-1.66*	-1017422.85
t-4	-0.69	-1,120,592.64**	-1.08	-928,346.44
t-3	-1.81**	-1,685,539.07***	-1.36	-888,369.29
t-2	-0.79	-438,670.03	-0.50	-1,026,883.54
t-1	1.10	-1,107,567.35	-1.53	-1,492,121.70
Day 0	-1.47	-943,253.36*	1.41	322,060.17
t+1	0.06	5,316,788.31	3.15**	3,861,650.73*
t+2	-0.36	894,745.15	5.22	7,645,289.20*
t+3	-0.63	61,899.91	-0.36	116,084.17
t+4	1.18	512,513.01	0.40	1,128,410.59
t+5	1.01	3,378,682.65	-1.24	-252,317.61

Table 7
This table presents results from an 11-day event study around stock split events. Column (1) reports the results for abnormal number of trades in investment grade bonds. Column (2) reports the results for abnormal trading volume in investment grade bonds. Column (3) reports the results for abnormal number of trades in high-yield bonds. Column (4) reports the results for abnormal trading volume in high-yield bonds. The abnormal measures are computed by taking the daily measures minus the pre-event window daily average, where the pre-event window is measured from the preceding 35 trading days [-40, -6]. The *t*-tests test whether the abnormal trading measures are significantly different from zero. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
	Investment Grade		High Yield	
t-5	-0.28	-545,763.41	-0.17	355,444.33
t-4	0.12	-651,648.59	0.41	625,595.82
t-3	-0.63	-623,984.73	2.09	-303,191.41
t-2	-0.27	-523,138.74	-1.13*	136,685.81
t-1	0.48	-175,267.58	-0.44	330,230.16
Day 0	0.41	-947,297.34***	-0.15	-642,115.54
t+1	-0.38	272,685.50	-0.07	451,128.15
t+2	0.42	674,935.74	0.20	1,019,770.78
t+3	-0.40	-1,201,001.36***	0.17	112,956.94
t+4	-0.84*	-894,029.14	0.07	-906,574.23**
t+5	-0.44	-632,573.67	-0.25	-477,273.11

Table 8

This table presents results from an 11-day event study around spin-off events. Column (1) reports the results for abnormal number of trades in investment grade bonds. Column (2) reports the results for abnormal trading volume in investment grade bonds. Column (3) reports the results for abnormal number of trades in high-yield bonds. Column (4) reports the results for abnormal trading volume in high-yield bonds. The abnormal measures are computed by taking the daily measures minus the pre-event window daily average, where the pre-event window is measured from the preceding 35 trading days [-40, -6]. The *t*-tests test whether the abnormal trading measures are significantly different from zero. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
	Investment Grade		High Yield	
t-5	0.28	-260,708.55	0.02	181,549.76
t-4	-1.27**	-703,561.80**	0.51	110,471.20
t-3	-1.15*	-279,742.33	-0.23	38,782.58
t-2	-0.70	71,517.52	0.44	1,636,559.73
t-1	-1.08	-920,473.70***	-0.59	-496,704.63
Day 0	-1.26	98,522.69	1.06	784,045.49
t+1	-1.07	-37,659.90	1.46*	1,634,657.55**
t+2	0.15	57,594.16	1.44*	1,207,104.00
t+3	-0.01	162,866.92	0.92	576,506.41
t+4	-0.51	-193,210.43	-0.02	709,364.85
t+5	-0.13	-381,573.45	-0.46	314,456.57

Table 9

This table presents results from an 11-day event study around ticker change events. Column (1) reports the results for abnormal number of trades in investment grade bonds. Column (2) reports the results for abnormal trading volume in investment grade bonds. Column (3) reports the results for abnormal number of trades in high-yield bonds. Column (4) reports the results for abnormal trading volume in high-yield bonds. The abnormal measures are computed by taking the daily measures minus the pre-event window daily average, where the pre-event window is measured from the preceding 35 trading days [-40, -6]. The *t*-tests test whether the abnormal trading measures are significantly different from zero. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
	Investment Grade		High Yield	
t-5	-0.55	-359,846.58	-2.87	-599,859.28
t-4	-1.56*	-974,622.23	-1.53	473,073.35
t-3	-1.71	-1,955,416.14**	-0.89	880,682.37
t-2	-1.37	918,988.99	0.40	97,603.82
t-1	-1.02	-1,742,502.67**	1.77	-1,338,381.45*
Day 0	-2.03**	1,654,103.42	-0.52	464,595.46
t+1	-0.76	281,503.10	-1.93	1,815,359.16
t+2	0.89	4,959,483.22**	-2.12	-1,337,921.97*
t+3	-1.55	90,997.01	-1.11	-474,501.15
t+4	-1.92	-165,744.98	-0.81	1,540,413.41
t+5	-1.81*	-867,447.87	-2.24	108,645.43

Table 10
This table reports the regression results from equation (2) for trading measures after CEO turnovers. The dependent variables are the abnormal trading measures. Other independent variables include annual sales, firm size, ROA, leverage, years to maturity, and raw bond return. Firm size, bond return, and sales are in logs. The t-statistics are in parentheses. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Voluntary Turnover				Involuntary Turnover			
	Investment Grade		High Yield		Investment Grade		High Yield	
	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)	Abnormal Trades (5)	Abnormal Volume (6)	Abnormal Trades (5)	Abnormal Volume (6)
Post	0.01	341,679.62	1.70	76,718.65	2.10	1,923,534.23***	1.51	1,914,446.62***
	(0.01)	(1.46)	(0.82)	(0.21)	(1.06)	(3.09)	(0.88)	(2.62)
Sales	-0.39	-346,188.49**	-0.18	81,040.60	-3.22**	-1,106,805.08***	-0.56	-559,222.85
	(-1.19)	(-2.35)	(-0.14)	(0.35)	(-2.57)	(-2.82)	(-0.64)	(-1.49)
Firm Size	0.80***	172,437.55	0.05	-75,044.09	1.50	643,556.55**	-3.49***	102,259.69
	(2.59)	(1.25)	(0.05)	(-0.40)	(1.57)	(2.14)	(-5.01)	(0.34)
ROA	0.03	443,586.80	-11.98	-11,945,254.42***	31.96***	-1,791,616.90	15.90***	1,568,053.48
	(0.01)	(0.30)	(-1.06)	(-5.97)	(3.26)	(-0.58)	(5.19)	(1.20)
Leverage	-0.02	277.49	0.09	51,291.70**	0.30	244,320.61**	-0.04**	-15,898.64*
	(-0.58)	(0.02)	(0.68)	(2.07)	(0.77)	(1.98)	(-2.03)	(-1.79)
Yrs to Maturity	-0.01	-28,976.35	-0.01	-22,320.90	-0.17	6,013.40	-1.00***	91,762.47
	(-0.25)	(-1.31)	(-0.05)	(-0.44)	(-0.76)	(0.08)	(-3.76)	(0.80)
Bond Return	-0.10	-69,773.28	-0.29	-55,856.88	0.17	-126,696.60	-2.55***	-233,917.96
	(-0.61)	(-0.91)	(-0.47)	(-0.52)	(0.28)	(-0.65)	(-5.72)	(-1.23)
Constant	-11.19***	-502,570.95	-1.72	553,411.31	4.52	-2,616,706.04	44.91***	1,089,824.22
	(-2.90)	(-0.29)	(-0.16)	(0.28)	(0.31)	(-0.57)	(5.38)	(0.31)
Observations	586	586	904	904	212	212	448	448
R-squared	0.02	0.02	0.00	0.05	0.09	0.08	0.18	0.03

Table 11

This table reports the regression results from equation (2) for trading measures after dividend change announcements. The dependent variables are the abnormal trading measures. Other independent variables include annual sales, firm size, ROA, leverage, years to maturity, and raw bond return. Firm size, bond return, and sales are in logs. The t-statistics are in parentheses. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Dividend Increase				Dividend Decrease			
	Investment Grade		High Yield		Investment Grade		High Yield	
	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)	Abnormal Trades (5)	Abnormal Volume (6)	Abnormal Trades (5)	Abnormal Volume (6)
Post	0.47	1,241,849.19**	0.91	893,230.94*	0.19	839,284.91	0.44	1,093,173.08*
	(0.97)	(2.40)	(1.46)	(1.78)	(0.18)	(1.41)	(0.14)	(1.91)
Sales	-0.26	42,523.38	0.35	128,848.42	-0.37	-46,815.10	-0.63	-431,820.92
	(-0.92)	(0.14)	(0.97)	(0.45)	(-0.66)	(-0.15)	(-0.39)	(-1.51)
Firm Size	-0.41	-295,919.42	-0.38	144,977.40	0.63	120,178.10	-2.18	335,196.21
	(-1.37)	(-0.93)	(-1.08)	(0.51)	(1.23)	(0.42)	(-1.43)	(1.24)
ROA	-3.26	5,794,672.26	-3.10	875,718.96	-14.97***	-7,912,046.29**	-23.52	-12,621,366.95***
	(-0.69)	(1.16)	(-0.60)	(0.21)	(-2.65)	(-2.52)	(-1.43)	(-4.32)
Leverage	-0.04	-321,574.94***	-0.18***	-152,811.97***	0.04	286,219.38**	0.09	92,085.36***
	(-0.66)	(-4.94)	(-3.15)	(-3.28)	(0.18)	(2.33)	(0.45)	(2.69)
Yrs to Maturity	0.05	53,047.22	0.04	-47,004.43	0.18*	143,282.86***	-0.04	139,909.98*
	(1.02)	(1.09)	(0.50)	(-0.65)	(1.94)	(2.73)	(-0.10)	(1.70)
Bond Return	-0.76***	-484,078.18***	-0.96***	-197,923.39	-0.96***	-201,029.81	-3.33***	-173,557.35
	(-4.71)	(-2.82)	(-5.33)	(-1.36)	(-3.00)	(-1.14)	(-3.68)	(-1.08)
Constant	3.17	-747,291.06	-4.13	-4,595,753.81	-15.27**	-4,674,773.36	16.87	-4,062,373.62
	(0.82)	(-0.18)	(-1.07)	(-1.47)	(-2.07)	(-1.14)	(0.94)	(-1.28)
Observations	1,282	1,282	1,543	1,543	474	474	716	716
R-squared	0.02	0.03	0.03	0.01	0.04	0.04	0.03	0.05

Table 12
This table reports the regression results from equation (2) for trading measures after M&A announcements. The dependent variables are the abnormal trading measures. Other independent variables include annual sales, firm size, ROA, leverage, years to maturity, and raw bond return. Firm size, bond return, and sales are in logs. The t-statistics are in parentheses. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Acquirer				Target			
	Investment Grade		High Yield		Investment Grade		High Yield	
	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)	Abnormal Trades (5)	Abnormal Volume (6)	Abnormal Trades (5)	Abnormal Volume (6)
Post	1.60**	932,958.20**	2.51**	3,297,361.90**	39.50	13,098,339.54	27.90*	21,608,610.65***
	(2.32)	(2.00)	(2.47)	(2.11)	(1.25)	(1.53)	(1.87)	(2.92)
Sales	-0.73	-423,799.34	-0.19	-1,988,129.84**	19.65	9,473,171.99	-0.66	-1,537,384.01
	(-1.61)	(-1.37)	(-0.30)	(-2.06)	(0.68)	(1.21)	(-0.08)	(-0.36)
Firm Size	-0.13	471,966.56	-0.79	363,990.42	29.21	9,534,795.28	-8.81	2,068,285.17
	(-0.25)	(1.39)	(-1.31)	(0.39)	(1.12)	(1.35)	(-1.32)	(0.63)
ROA	-7.27	-4,047,238.33	6.04	-7,894,382.34	-429.29	-11,700,000	3.91	-15,708,490.73
	(-1.06)	(-0.87)	(0.84)	(-0.71)	(-1.52)	(-1.54)	(0.09)	(-0.71)
Leverage	0.03	-18,619.56	0.06	151,382.66	7.15	3,126,952.91	-0.45	-91,243.89
	(0.44)	(-0.39)	(0.51)	(0.89)	(0.26)	(0.42)	(-1.01)	(-0.41)
Yrs to Maturity	-0.07	-49,436.85	0.21	-88,922.26	-2.89	-902,252.80	0.52	-874,703.70
	(-0.83)	(-0.82)	(1.51)	(-0.42)	(-1.23)	(-1.41)	(0.20)	(-0.66)
Bond Return	-0.74***	-144,201.57	-0.41	135,555.36	4.24	2,666,927.29	-6.27*	-3,439,395.00*
	(-3.33)	(-0.95)	(-1.31)	(0.28)	(0.45)	(1.04)	(-1.67)	(-1.85)
Constant	4.83	-4,613,807.74	9.92	13,835,875.50	-597.97**	-21,600,000***	88.55	-36,711,841.78
	(0.81)	(-1.15)	(1.59)	(1.44)	(-2.49)	(-3.33)	(0.96)	(-0.80)
Observations	271	271	359	359	87	87	165	165
R-squared	0.09	0.04	0.04	0.04	0.17	0.26	0.06	0.08

Table 13
This table reports the regression results from equation (2) for trading measures after seasoned equity offering (SEO) announcements. The dependent variables are the abnormal trading measures. Other independent variables include annual sales, firm size, ROA, leverage, years to maturity, and raw bond return. Firm size, bond return, and sales are in logs. The t-statistics are in parentheses. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Investment Grade		High Yield	
	Abnormal Trades	Abnormal Volume	Abnormal Trades	Abnormal Volume
	(1)	(2)	(3)	(4)
Post	0.45	3,979,627.24**	2.37*	3,732,728.69*
	(0.37)	(2.43)	(1.76)	(1.76)
Sales	1.13	1,158,310.11	0.01	4,533.28
	(0.35)	(0.26)	(0.02)	(0.01)
Firm Size	-0.69	-60,779.35	0.38	-1,242,121.11
	(-0.31)	(-0.02)	(0.64)	(-1.31)
ROA	-15.80	-22,970,366.23*	-4.81	-15,696,037.66**
	(-1.65)	(-1.78)	(-1.20)	(-2.47)
Leverage	-1.75	-975,621.38	0.00	-11,966.39
	(-0.38)	(-0.16)	(0.03)	(-0.21)
Yrs to Maturity	0.13	145,350.72	-0.32	805,812.16*
	(0.64)	(0.52)	(-1.15)	(1.85)
Bond Return	0.10	477,012.99	0.09	-1,843,340.86***
	(0.21)	(0.74)	(0.27)	(-3.36)
Constant	1.66	-8,371,083.93	-4.98	-1,884,184.83
	(0.05)	(-0.20)	(-0.60)	(-0.14)
Observations	49	49	221	221
R-squared	0.30	0.39	0.03	0.12

Table 14
This table reports the regression results from equation (2) for trading measures after spin-off events. The dependent variables are the abnormal trading measures. Other independent variables include annual sales, firm size, ROA, leverage, years to maturity, and raw bond return. Firm size, bond return, and sales are in logs. The t-statistics are in parentheses. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Investment Grade		High Yield	
	Abnormal Trades	Abnormal Volume	Abnormal Trades	Abnormal Volume
	(1)	(2)	(3)	(4)
Post	1.07	439,341.63	1.68**	893,247.02
	(1.47)	(1.24)	(2.00)	(1.45)
Sales	-0.08	-52,726.54	0.00	-558,431.12
	(-0.17)	(-0.21)	(0.01)	(-1.58)
Firm Size	-0.30	577,369.65**	0.23	560,434.91
	(-0.63)	(2.47)	(0.44)	(1.43)
ROA	-11.61*	-6,755,817.00**	-2.82	1,217,488.19
	(-1.89)	(-2.26)	(-0.46)	(0.27)
Leverage	0.10	-49,530.59	-0.02	-33,715.77**
	(0.75)	(-0.77)	(-0.85)	(-2.29)
Yrs to Maturity	0.04	-18,413.76	-0.11	-155,967.05*
	(0.55)	(-0.47)	(-1.03)	(-1.92)
Bond Return	-0.52**	-98,975.83	-0.74***	-673,534.20***
	(-2.24)	(-0.88)	(-3.20)	(-3.98)
Constant	1.57	-9,673,804.52***	-8.25	-7,920,479.06*
	(0.26)	(-3.25)	(-1.34)	(-1.76)
Observations	194	194	241	241
R-squared	0.07	0.07	0.08	0.12

Table 15
This table reports the regression results from equation (2) for trading measures after stock split events. The dependent variables are the abnormal trading measures. Other independent variables include annual sales, firm size, ROA, leverage, years to maturity, and raw bond return. Firm size, bond return, and sales are in logs. The t-statistics are in parentheses. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Investment Grade		High Yield	
	Abnormal Trades	Abnormal Volume	Abnormal Trades	Abnormal Volume
	(1)	(2)	(3)	(4)
Post	-0.21	-334,414.92	-0.23	-770,853.28
	(-0.41)	(-0.64)	(-0.29)	(-0.94)
Sales	0.05	-413,061.16	0.08	-159,317.33
	(0.11)	(-0.99)	(0.12)	(-0.23)
Firm Size	-0.48	-835,389.72**	-0.55	502,571.90
	(-1.24)	(-2.16)	(-0.98)	(0.90)
ROA	-3.53	-1,253,071.79	-9.26	-14,159,339.87
	(-0.60)	(-0.21)	(-0.92)	(-1.40)
Leverage	0.07	371,806.20	0.28	-294,507.40
	(0.23)	(1.26)	(0.55)	(-0.58)
Yrs to Maturity	-0.01	-27,878.92	-0.12	-189,899.78**
	(-0.28)	(-0.64)	(-1.37)	(-2.24)
Bond Return	-0.29*	137,854.57	-0.28	140,829.43
	(-1.70)	(0.81)	(-1.09)	(0.55)
Constant	6.50	1,9466,122.78***	8.14	-2,286,168.89
	(1.44)	(4.29)	(1.33)	(-0.37)
Observations	126	126	136	136
R-squared	0.08	0.22	0.06	0.09

Table 16
This table reports the regression results from equation (2) for trading measures after ticker change events. The dependent variables are the abnormal trading measures. Other independent variables include annual sales, firm size, ROA, leverage, years to maturity, and raw bond return. Firm size, bond return, and sales are in logs. The t-statistics are in parentheses. *, **, and *** denotes significance at the 10%, 5%, and 1% levels, respectively.

	Investment Grade		High Yield	
	Abnormal Trades (1)	Abnormal Volume (2)	Abnormal Trades (3)	Abnormal Volume (4)
Post	-0.23	707,591.59	-1.69	296,162.04
	(-0.32)	(0.42)	(-1.13)	(0.30)
Sales	-0.63	708,095.10	-0.39	615,903.87
	(-1.19)	(0.58)	(-0.45)	(1.09)
Firm Size	1.27**	1,027,372.29	1.28	-461,471.24
	(2.34)	(0.82)	(1.48)	(-0.81)
ROA	-31.95***	7,772,514.93	44.87***	-12,581,965.54*
	(-4.16)	(0.43)	(3.95)	(-1.67)
Leverage	0.52	1,006,308.83	-0.04***	19,732.85**
	(0.98)	(0.81)	(-2.91)	(2.03)
Yrs to Maturity	0.26***	437,948.04**	-0.41*	4,770.74
	(2.90)	(2.06)	(-1.87)	(0.03)
Bond Return	0.05	-591,025.87	-0.42	516,278.32*
	(0.20)	(-0.92)	(-1.02)	(1.91)
Constant	-18.77**	-31,172,836.27*	-19.16*	3,684,903.53
	(-2.37)	(-1.69)	(-1.90)	(0.55)
Observations	95	95	211	211
R-squared	0.39	0.07	0.12	0.05